

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	)	Docket No. RM26-4-000 (Not consolidated)
PJM Interconnection, L.L.C., <i>et al.</i>	)	Docket No. EL25-49-000
Large Loads Co-Located at Generating Facilities	)	Docket No. AD24-11-000
Constellation Energy Generation, LLC	)	
	)	
v.	)	Docket No. EL25-20-000
	)	(Consolidated)
PJM Interconnection, L.L.C.	)	

**SUPPORTING REPLY COMMENTS OF
CONSTELLATION ENERGY GENERATION, LLC**

Constellation supports the ANOPR and submits this reply to discuss four areas of consensus in the record that provide the path forward on large load interconnection reform. The comments reveal broad agreement among the overwhelming majority who support reform that the Commission should (i) act quickly, (ii) focus relief in regions where there is evidence of undue discrimination, undue preference or unjust and unreasonable service, (iii) respect regional differences, and (iv) avoid unnecessary jurisdictional fights.¹

Accordingly, the Commission should issue the following two items:

First, by the end of the year, the Commission should issue an order on the merits in the PJM Show Cause proceedings² and thereby: (i) take swift action to kickstart development on

¹ See *infra*, Section I (citations to comments in the record on each of these four points).

² *PJM Interconnection, L.L.C.*, Docket No. EL25-49-000, *Large Loads Co-Located at Generating Facilities*, Docket No. AD24-11-000, *Constellation Energy Generation, LLC v. PJM Interconnection, L.L.C.*, Docket No. EL25-20-000 (consolidated) (collectively, “PJM Show Cause proceedings”).

several stalled hyperscale data center projects in PJM; (ii) conclude, based on the comprehensive record in those proceedings, that the lack of clear rules allows the PJM Transmission Owners to unduly discriminate by *still refusing to process* large load behind-the-meter projects, while leveraging unfiled procedures for processing in front-of-the-meter interconnections to favor facilities and over which they have a monopoly; (iii) provide relief tailored to the PJM region while still advancing the rulemaking process; and (iv) avoid the most controversial jurisdictional questions over large load interconnections. Commissioners and key parties also support prompt guidance in PJM, and an order there can capitalize on consensus in the ANOPR record.³

On jurisdiction, the only immediate call the Commission must make in PJM is whether to exercise jurisdiction over hybrid facilities' shared point of interconnection to the grid. This is an easy call since the Commission already exercises jurisdiction over the generator's interconnection, and jurisdiction over the same shared facilities does not bifurcate between state and federal

³ See Comments of PJM Interconnection, L.L.C. at 2 (filed Nov. 21, 2025) ("PJM encourages FERC to seize available opportunities to issue nearer-term regulatory guidance on matters squarely within its wholesale and transmission jurisdiction") ("PJM Comments"); *see also id.* at 8 ("PJM recommends FERC consideration of the robust record in Docket No. EL25-49, including PJM's previously-filed response in that show cause proceeding."); Comments of PPL Companies at 16 (filed Nov. 21, 2025) ("FERC also opened a Show Cause docket specifically for PJM's consideration of co-located loads, examining whether the PJM Tariff remains just and reasonable for not providing sufficient guidance as to their treatment. These dockets remain open. Commission action to provide guidance on this subject would be welcome.") ("PPL Comments"); Comments of AES Corporation at 14 (filed Nov. 21, 2025) ("AES notes that some of these issues are already before the Commission in existing proceedings, including the Commission's FPA Section 206 Proceeding addressing co-location of large loads within PJM. To promote regulatory certainty, the Commission should ensure that any rules developed through this proceeding related to collocated generation and transmission service address and take into account the records as well.") (footnote omitted) ("AES Comments"); Comments of the Electric Power Supply Association at 3 (filed Nov. 21, 2025) ("It would be entirely inconsistent with the intent of the ANOPR to further delay resolution of the Show Cause proceeding to clarify the rules applicable to large load interconnections in PJM, which has been awaiting Commission action based on an extensive record for over six months.") ("EPSA Comments"); *see also, e.g., PJM Interconnection, L.L.C.*, 191 FERC ¶ 61,025, at P 30, n.106 (2025) ("We fully intend to act as expeditiously as possible to address those issues, as we know how important it is to investors, utilities, and all interested parties to have regulatory certainty."); FERC, November 20, 2025 Open Meeting, YOUTUBE (Nov. 20, 2025), at 19:39, <https://www.ferc.gov/news-events/events/november-20-2025-open-meeting-10022024> (Commissioner David Rosner expressing he is "confident that we can make some progress" on the open co-location proceeding in PJM); Transcript of Oct. 16, 2025 Open Meeting at 7:14-18 (Then-Chairman David Rosner states "I'm very optimistic that the Commission will be ready to act later this year on our work on colocation.").

authority depending on the services of the moment.⁴ Regardless, it is now essential for the Commission to exercise its authority to prevent Transmission Owners from denying or encumbering interconnection services for large load configurations that they disfavor.

Second, by the end of the year or as soon as possible thereafter, the Commission should issue a Notice of Proposed Rulemaking (“NOPR”) that builds upon the principles in the ANOPR and responds to the four areas of consensus. The NOPR should: (i) establish deadlines to meet the Secretary’s timeline for a final rule by April 30, 2026; (ii) solicit specific evidence of unjust and unreasonable service for large loads and/or undue discrimination or preference by Transmission Owners to support the Commission’s required Federal Power Act (“FPA”) section 206 showing in each region and state, as it already has in PJM; (iii) accommodate regional differences; and (iv) expand its jurisdictional analysis and findings based on the record, including a finding that the Commission has jurisdiction over hybrid facilities’ shared point of interconnection.

In both the PJM order and the NOPR, the Commission could also address reliability concerns by considering improvements to load forecasting, additional demand response, and enhanced reliability backstop mechanisms. Constellation joined Amazon, Calpine, Google, Microsoft, and Talen in sponsoring a package of such reliability reforms in PJM, and Constellation

⁴ See Comments of the Pennsylvania Public Utility Commission at 11 (filed Nov. 21, 2025) (“There is no clear Congressional authorization to expand FERC jurisdiction to pure load interconnection of any size. However, if limited to hybrid interconnections of load and generation at the same point of interconnection, there may be greater room for discussion.”) (“Pennsylvania PUC Comments”); EPSA Comments at 12 (“the interconnection of the hybrid facility will plainly be a practice directly affecting the Commission-jurisdictional wholesale rates of the interconnected or interconnecting generation facilities.”); Comments of the Solar Energy Industries Association at 10, 14 (filed Nov. 21, 2025) (“Jurisdiction should be limited to interconnections directly to transmission facilities” and noting that the ANOPR defines “Hybrid Facilities” as loads that “share a point of interconnection with new or existing generation facilities.”) (“SEIA Comments”); Comments of Eolian L.P. at 5 (filed Nov. 21, 2025) (“the interconnection of large loads to the interstate transmission system is a transmission service in precisely the same way that the interconnection of generators to the transmission system is a transmission service.”) (“Eolian Comments”).

further proposed those reforms in its initial comments in this proceeding.⁵ However, the Commission should reject “Bring Your Own Generation” or “BYOG” proposals (such as PJM Option 6 in the Show Cause proceeding)⁶ that would allow state-favored resources to leapfrog the PJM queue, and should likewise reject proposals discussed in the ANOPR comments or in the IMM’s recent complaint that would condition new large load interconnections (or expedited interconnection) upon the load bringing its own new generation.⁷ Discrimination against existing generation resources will undermine resource adequacy by signaling that existing capacity is less valuable than new capacity in serving load, even when existing capacity can serve load more efficiently. The Commission should let existing market mechanisms work to ensure resource adequacy. If it determines that reform is needed, it should adopt competitive market fixes that preserve market-based incentives for capital investment, such as the Joint Stakeholders’ Reliability Backstop Alternative that we proposed in our initial comments⁸ and that we further explain in the attached Affidavit of Aaron T. Patterson of the NorthBridge Group, Inc., an expert in electric market design.⁹

Issuance of the PJM order by the end of the year and the NOPR by then or as soon thereafter as possible is the Commission’s best path forward to build upon the principles in the ANOPR and

⁵ See Supporting Comments of Constellation Energy Generation, LLC at 40-43 (filed Nov. 19, 2025) (discussing reliability proposals) (“Constellation Comments”); *see also id.*, Exh. 1, Joint Stakeholder Package (Amazon, Calpine, Constellation, Google, Microsoft, Talen), PJM CIFP – Large Load Additions, Stage 4 (Nov. 19, 2025).

⁶ Constellation Comments at 15-17.

⁷ See *Indep. Market Monitor for PJM v. PJM Interconnection, L.L.C.*, FERC Docket No. EL26-30-000 (filed Nov. 25, 2025) (“IMM Complaint”).

⁸ See Constellation Comments at 42-43. PJM has the authority to file to ensure resource adequacy of its own accord and could submit this proposed Reliability Backstop Mechanism (a proposal with which it is very familiar given it was vetted extensively in the recent Critical Issue Fast Path (CIFP) stakeholder process) pursuant to section 205 of the FPA in time to be considered by the Commission, accepted and in place for the 2028/29 capacity auction in June 2026.

⁹ Patterson Aff., Exh. 1 hereto (discussing the “Enhanced Backstop,” which is the Reliability Backstop Alternative).

fortify America’s leadership in AI consistent with Chairman Laura V. Swett’s “priority ... to ensure that our country can connect and power data centers as quickly and as durably as possible.”¹⁰

I. There Is Broad Consensus in the Record for How the Commission Should Act

Four areas of consensus emerge from the initial comments and should guide the Commission’s next steps on large load interconnection reform.

A. The Commission Should Act Quickly

The Department of Energy,¹¹ members of the Commission,¹² and most parties agree that “the time has come for the Commission to act expeditiously by establishing rules that will provide

¹⁰ Video of November 20, 2025 Commission Meeting at 6:14-22 (available at https://www.youtube.com/watch?v=_Cxq0gORq8c&embeds_referring_euri=https%3A%2F%2Fwww.ferc.gov%2F&source_ve_path=OTY3MTQ).

¹¹ See U.S. Department of Energy, Secretary of Energy, Letter to FERC re: “Ensuring the Timely and Orderly Interconnection of Large Loads,” Advance Notice of Proposed Rulemaking (Oct. 23, 2025) (cover letter, “Secretary’s Letter,” and Advanced Notice of Proposed Rulemaking “ANOPR”), *passim*.

¹² See *supra* 2, n.3; *id.* 5, n.10; see also Ethan Howland, *New FERC commissioners say connecting data centers is key priority*, Utility Dive (Nov. 21, 2025), <https://www.utilitydive.com/news/ferc-data-centers-swett-lacerte-ing/806145/> (“The AI data race requires ‘bold action’ to protect the economy and national security, [Commissioner LaCerte] said. ‘The risks of inaction or delayed action are simply too great,’ he added. ‘I look forward to partnering with all stakeholders ... to accomplish these goals.’”); Ethan Howland, *Surging load growth requires flexibility, new approaches: FERC’s See*, Utility Dive (Oct. 27, 2025), <https://www.utilitydive.com/news/load-growth-transmission-incentive-ferc-see/803840/> (quoting Commissioner See as stating “We’re at a time where we need electrons to be able to get where they need to in an efficient and a cost effective manner, and that’s going to require new investments and new development, and we need that quickly”); Judy W. Chang, et. al, *It’s all one system: Integrate transmission and interconnection planning to support load growth*, Utility Dive (Sept. 26, 2025), <https://www.utilitydive.com/news/its-all-one-system-integrate-transmission-and-interconnection-plan...> (“Generational change is occurring in the nation’s energy sector. While FERC is considering urgent short-term fixes, it also must evaluate longer-term solutions that shape the sector.”).

clarity and finality.”¹³ Certain states and the minority of parties that urge delay largely are concerned about federal-state jurisdiction and disruption to ongoing state and regional efforts.¹⁴

¹³ Comments of the PSEG Companies at 2 (filed Nov. 21, 2025) (“PSEG Comments”); *see also, e.g.*, PJM Comments at 2, 8 (“PJM encourages FERC to seize available opportunities to issue nearer-term regulatory guidance....”); Comments of Southern Maryland Electric Cooperative, Inc. at 1-2 (filed Nov. 21, 2025) (“SMECO respectfully submits that a final rule ... is needed at the present time.”); Comments of Advanced Energy United at 32-33 (filed Nov. 21, 2025) (“Advanced Energy United encourages the Commission to meet DOE’s April 30, 2026 deadline for final action to the extent feasible.... The Commission should expend every possible effort to deliver a timely rulemaking ... [and] consider moving forward on a more expedited basis on those elements ... that have more uniform stakeholder support.”); Comments of the Electricity Customer Alliance at 6 (filed Nov. 21, 2025) (“Commission action is needed now to facilitate speed to power for large load customers, resolve lingering questions holding back progress, and protect existing customers”) (initial capitalization omitted) (“ECA Comments”); Comments of Talen Energy Corporation at 6 (filed Nov. 21, 2025) (“...the President’s recent executive orders ... underscore the urgency of action. The United States cannot afford to wait years for lengthy regulatory processes to play out while reliability risks mount, critical infrastructure projects stall, and the nation loses investment in groundbreaking technology to other countries because of lack of regulatory certainty. Every delay compounds the challenge of meeting demand and maintaining resilience while supporting economic growth.”) (“Talen Comments”); Initial Comments of Iron Mountain Data Centers at 1 (filed Nov. 21, 2025) (“Iron Mountain largely supports the Commission expeditiously moving the Secretary’s proposed ANOPR forward to a NOPR and eventually a FERC order”); Comments of Americans for a Clean Energy Grid at 11-12 (filed Nov. 21, 2025) (“The Commission should deploy every tool at its disposal to meet the goals set forth in the ANOPR, which fundamentally relies on our ability to build well-planned comprehensive high-capacity regional and interregional transmission as soon as possible.”); Comments of Geronimo Power, LLC at 1 (filed Nov. 21, 2025) (“Geronimo Power urges the Commission to promptly move forward with a notice of proposed rulemaking and final rule in this proceeding....”) (“Geronimo Comments”); Comments of WIRES at 2 (filed Nov. 21, 2025) (“To that end, WIRES generally supports the urgent need, as recognized by the Secretary, to expedite and streamline the interconnection of large loads.”); Initial Comments of Microsoft Corp. at 8 (filed Nov. 21, 2025) (“In consideration of the urgent need for action....”); Comments of the Institute for Progress at 2 (filed Nov. 21, 2025) (“We urge the Commission to move swiftly to a final rule that both enables innovation and hardens our grid infrastructure.”); EPSA Comments at 5 (“EPSA ... urges the Commission to act on these matters in as timely and clearly a manner possible.”); Comments of Chevron U.S.A., Inc. at 4 (filed Nov. 21, 2025) (“the Commission should promptly issue a Notice of Proposed Rulemaking (NOPR) that fleshes out DOE’s initial recommendations and includes specific regulatory text”).

¹⁴ *See* Comments of the Organization of PJM States, Inc. at 2-3 (filed Nov. 21, 2025) (“Rather than relitigating the long-standing division of authority related to load interconnections, it would be more efficient to search for solutions that promote consensus between the states and the Commission rather than rushing questionable modifications to long-standing, statutorily defined jurisdictional divisions.”) (“OPSI Comments”); Initial Comments of the New England States Committee on Electricity at 3 (filed Nov. 21, 2025) (“If the Commission decides to move forward with a rulemaking, it should first engage in a significant collaborative process with states, regional transmission organizations (‘RTOs’), and other stakeholders. Absent this, the Commission risks creating a one-size-fits-all rule that is vulnerable to legal challenge and results in significant unintended consequences due to large state and regional differences and existing state regulation of large load interconnection customers.”); Initial Comments of the Organization of MISO States, Inc. at 4 (filed Nov. 21, 2025) (“It is essential that the Commission, DOE, states, utilities, and large-load customers work together in this proceeding to identify a clear and coordinated path forward while acknowledging that the implications of any final rule are significant. If outcomes of this proceeding cause regulatory gaps, unintended consequences, or are or not in alignment with the FPA (and other long-standing systems of cooperative federalism established in settled case law that have governed the electric grid for decades) the desired speed of interconnecting large loads could come to a standstill through unintended system inefficiencies, new bottlenecks, and most likely – legal challenges.”) (“MISO States Comments”); Comments of the New York State Public Service Commission at 3 (filed Nov. 21, 2025) (“the Commission should pause the Proposed ANOPR

Others seek to maintain the *status quo*.¹⁵ But most of the parties who support reform desire prompt action and the policy imperative for quick reform is obvious. The Commission should issue an order on the merits in PJM¹⁶ by the end of the year and a NOPR by then or as soon thereafter as possible.

B. The Commission Should Act on Record Evidence of Undue Preference, Undue Discrimination and Unjust and Unreasonable Service for Large Load Interconnections

Since the Commission can only issue a rule after making a showing under section 206 of the FPA,¹⁷ several parties argue that the Commission must make specific showings in each region

proceeding and work with stakeholders to identify other efforts that should be pursued, particularly those within the Commission’s jurisdiction.”) (“NYS PSC Comments”); Comments of the New York Transmission Owners at 5 (filed Nov. 21, 2025) (“[A]ny federal action that interferes with New York’s retail regulatory framework would necessarily invite dispute over whether the Commission has stepped beyond its statutory authority.”) (“NY Transmission Owners Comments”); Initial Comments of the Public Service Commission of the State of Missouri at 13 (filed Nov. 21, 2025) (“The Secretary’s abbreviated deadline of April 2026 ... should warrant a cautious approach.”); Comments of Consumers Energy Company at 13 (filed Nov. 21, 2025) (“Attempting to finalize a rulemaking of this potential magnitude within approximately six months may increase the risk of legal challenges concerning the Commission’s authority.... If the Commission does not take adequate time, there is a risk that implementation of desired reforms will be delayed and potentially frustrated.”).

¹⁵ See Initial Comments of the PJM Transmission Owners at 2 (filed Nov. 21, 2025) (“Any Commission action [must] be appropriately targeted and respect existing paradigms and precedent regarding cost-allocation, federal and state jurisdiction, and protecting reliability.”) (“PJM Transmission Owners Comments”); PPL Comments at 8-9 (“Our states are not slowing data center interconnections down in any measurable way.... Even if a standard, federalized process makes sense elsewhere, it is simply not able to speed things up in Pennsylvania”); Comments of the Ohio Federal Energy Advocate at 2 (filed Nov. 21, 2025) (“we recommend the Commission continue to defer to state action and utility-specific tariffs to manage the interconnection of load.”); NYS PSC Comments at 3 (“[T]he Commission should pause the Proposed ANOPR rulemaking proceeding and work with stakeholders to identify if there are other efforts that should be pursued, particularly those within the Commission’s jurisdiction.”); Initial Comments of the WEC Companies at 4 (filed Nov. 21, 2025) (“The general statements in the ANOPR ... do not meet [the] burden. And, such a finding would conflict with the demonstrable success of the current regulatory process in Wisconsin and the MISO region.... Wisconsin is a ‘hot spot’ for attracting data centers today and has been a success story in terms of interconnecting large loads to the grid.... Introducing a new, federal regulatory process at this stage would have the unintended effect of stalling the positive momentum....”) (“WEC Comments”); Preliminary Rulemaking Comments of the Southern Companies at 6 (filed Nov. 21, 2025) (“[T]he Southeast... large loads have presented new and valuable opportunities for economic growth, while at the same time demanding that utilities and regulators remain flexible and capable of adapting to changing conditions.... The Southeast has swiftly met this challenge because of an existing productive and healthy market structure built on a foundation of effective state regulation.”) (“Southern Companies Comments”).

¹⁶ See *supra* at 2, n. 3 (citing parties supporting prompt action in PJM).

¹⁷ 16 U.S.C. § 824e(a). Section 206 requires a two-step showing: the Commission must first find that the existing “rate, charge, classification, rule, regulation, practice, or contract” is “unjust, unreasonable, unduly discriminatory

(RTO) and state (or utility service territory) “that the existing tariffs unduly discriminate or are otherwise unjust and unreasonable pursuant to section 206 of the FPA.”¹⁸ In PJM, the Commission already has a comprehensive record of undue discrimination and need not wait further while it develops a record with respect to other regions.

1. The Commission Should Act on Record Evidence in PJM

In PJM, the Commission already has a comprehensive record, including substantial, un rebutted evidence of undue discrimination by PJM Transmission Owners against any behind-the-meter configuration, and any in front-of-the-meter configuration that avoids interconnection through the Transmission Owners’ distribution facilities.¹⁹ The Commission’s November 1, 2024

or preferential,” and then “determine the just and reasonable” replacement and “fix the same by order.” *See* Answer of Constellation Energy Generation, LLC, Docket No. EL25-49-000, et al., at 108 (Apr. 23, 2025) (explaining that any FPA section 206 rule must rest on a finding that the existing PJM Tariff is unjust and unreasonable and must specify a just and reasonable replacement rate).

¹⁸ WEC Comments at 4; *see, e.g.*, NYS PSC Comments at 4-5 (“Notably absent from the Proposed ANOPR is any evidence that utilities across the nation, or within a particular region, have unduly delayed or burdened the interconnection of large loads, leading to inefficient, untimely, or discriminatory load interconnections. Before taking the extraordinary step of exerting jurisdiction over matters that the FPA reserves to the states, it is incumbent on the Commission to demonstrate that an adequate basis exists warranting such unprecedented reform.”); Initial Comments of the Louisiana Public Service Commission and Mississippi Public Service Commission at 6 (filed Nov. 21, 2025) (“The ANOPR provides no sufficient demonstration that the current load interconnection process in MISO, SPP, Mississippi, or Louisiana violates the Federal Power Act.... The FPA requires that substantial evidence be presented showing that the existing rate is unjust, unreasonable, unduly discriminatory, or preferential.”); Southern Companies Comments at 11 (“[T]he Commission should craft rules applicable to specific regions or consider exempting regions that have demonstrated success in this area and do not need to adopt new rules.”); Comments of Entergy Operating Companies at 20 (filed Nov. 21, 2025) (“Where State processes are working well, there is no need to inject additional rules.”) (“Entergy Comments”); Comments of Duke Energy Corporation at 2 (filed Nov. 21, 2025) (“To the extent FERC can identify specific and concrete problems within its statutory authority, FERC should narrowly tailor any proposed reforms to solving those specific problems.”) (“Duke Comments”).

¹⁹ The Commission’s evidentiary record in PJM has been assembled over numerous proceedings: Exelon filed six separate rate cases seeking to amend the PJM Tariff to prohibit behind-the-meter co-location, which the Commission rejected as procedurally improper after extensive briefing before and after a deficiency notice. *Atl. City Elec. Co.*, 190 FERC ¶ 61,109 (2025) (Exelon cannot amend the PJM Tariff).

Two Exelon affiliates filed a Petition for Declaratory Order on jurisdictional issues, which were fully briefed and remain pending. *See, e.g.*, Protest of Constellation Energy Generation, *Baltimore Gas and Elec. Co. and PECO Energy Co.*, FERC Docket No. EL24-149-000 (filed Oct. 30, 2024).

Constellation filed a complaint against PJM seeking to memorialize prior PJM guidance on co-location and establish clear rules of the road, which spurred several more rounds of briefs and led to the Commission’s Show Cause Order. *See* Complaint Requesting Fast Track Processing of Constellation Energy Generation, LLC, *Constellation Energy*

order rejecting the Susquehanna Nuclear amended Interconnection Service Agreement (“ISA”) cemented the Transmission Owners’ refusal to process certain large load requests – effectively imposing their litigation position on others – even as these issues remain pending before the Commission²⁰ Constellation has documented this discrimination in the Show Cause Proceedings.²¹ Some Transmission Owners act as if all large load interconnection and co-location issues have been resolved in their favor. Numerous projects have been stalled. This led the Commission to preliminarily find in the Show Cause Order that “this lack of applicable Tariff provisions raises the potential for undue discrimination or preferential treatment.”²²

Generation, LLC v. PJM Interconnection, L.L.C., FERC Docket No. EL25-20-000 (filed Nov. 22, 2024) (“Constellation Complaint”); *see PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115 (2025) (“PJM Show Cause Order”).

The Show Cause Order itself included 38 specific briefing questions on nearly every issue raised by the ANOPR, with scores of parties filed responses. *See* Motion for Leave and Answer of Constellation Energy Generation, LLC, *PJM Interconnection, L.L.C.*, FERC Docket No. EL25-49-000 (filed May 8, 2025) (demonstrating overwhelming record support in filed responses to meet the section 206 of the FPA showing that the existing PJM Tariff is unjust and unreasonable because it lacks clear rules for co-location).

Finally, the Commission previously convened its own Large Loads technical conference with written statements and more rounds of comments (and a heavy focus on PJM). *Large Loads Co-Located at Generating Facilities*, FERC Docket No. AD24-11-000.

²⁰ *PJM Interconnection, L.L.C.*, 189 FERC ¶ 61,078, at P 87 (2024) (rejecting the amended ISA because it “raise[d] questions regarding whether PJM intends to offer these terms to *all similarly-situated interconnection customers*”) (emphasis added); *see also id.* PP 87, 89 (finding that “PJM has not demonstrated that the proposed non-conforming provisions in the Amended ISA are necessary deviations from the *pro forma* ISA” because it did not “show that these provisions are necessary for any interest unique to the interconnection of the Susquehanna Customer Facility”).

²¹ *See* Constellation Complaint at Exh. 5, Declaration of James R. McCoskey (“McCoskey Declaration”) (detailing Transmission Owner refusal to process co-location project at LaSalle Clean Energy Center); *see also id.*, Att. 1 to McCoskey Declaration (Letter from E. Glenn Rippie to Carrie Allen (Nov. 12, 2024) (demanding that co-located loads take retail service from Transmission Owner before any further processing of interconnection studies).

Included in the record in the Show Cause Proceedings is extensive Transmission Owner correspondence documenting their refusals to process co-location projects. *See* Constellation Complaint at 6-8 (and notes therein) (*citing* Protest of Constellation Energy Generation, *Baltimore Gas and Elec. Co. and PECO Energy Co.*, Docket No. EL24-149-000 (filed Oct. 30, 2024), Exh. 2 (Correspondence with Exelon)) (attaching 13 letters). *See also* Constellation Comments at 4 n.8 (citing evidence and discussion of Transmission Owners’ refusal to cooperate).

²² PJM Show Cause Order, 190 FERC ¶ 61,115 at P 75 (citing Constellation Complaint at 17); *see also id.* P 74 (“[t]he absence of such provisions may leave entities unable to determine what steps they can or must take to effectuate co-location arrangements of various configurations.”).

It has only gotten worse. Some Transmission Owners have blocked *behind-the-meter* configurations and are extending that discrimination to front-of-the-meter connections *to the grid* (hybrid facilities), requiring that these facilities take distribution service or adopt configurations that would make net billing impossible. At a time when innovation and efficiency are needed, they are instead leveraging their monopoly over interconnection to block innovative and efficient configurations that would provide customers with alternatives to the other services (*e.g.*, gross-billed network transmission service and distribution service) these Transmission Owners provide. The Commission should not allow Transmission Owners to continue to engage in this unduly discriminatory and preferential treatment.

2. The Commission Should Request Further Evidence in Other Regions

The NOPR should solicit specific additional evidence of unjust and unreasonable interconnection service for large loads and/or undue discrimination against configuration disfavored by Transmission Owners to support the Commission’s required showing under section 206 of the FPA in each region or state, as it already has in PJM. This should address some states’ concerns that there has been no showing in the ANOPR of undue discrimination.²³ The request for additional evidence should include Governor Shapiro and Governor Youngkin’s joint “suggest[ion] that FERC examine interconnection study processes, and whether it should be considered not just and reasonable for an interconnection request to take longer than six months, as recently requested by thirteen governors of both parties.”²⁴ In the event that the Commission

²³ See, *e.g.*, MISO States Comments at 7 (“the ANOPR provides no evidence or examples demonstrating that current state- or utility-administered interconnection processes are discriminatory or inadequate.”); OPSI Comments at 6 (similar); NYS PSC Comments at 4-5 (similar).

²⁴ Shapiro & Youngkin Comments at 2 (filed Nov. 21, 2025).

determines it lacks a sufficient record in non-RTO regions, the NOPR may also initially focus the rule on RTOs.²⁵

The Commission should reject arguments that “utilities have no incentive to discriminate against large loads, which represent new retail sales and rate-base investment opportunities.”²⁶ The Maryland Public Service Commission, for example, argues that “FERC issued Orders Nos. 888 and 2003 to correct inefficiencies and discrimination by vertically integrated utilities favoring their own generation resources” but asserts “utilities have no comparable incentive to discriminate against *large load*, as these customers represent valuable opportunities for new retail sales and investment.”²⁷ These comments overlook that Transmission Owners are transmission and distribution monopolists, and as Order No. 888 recognized, it is “*inherent*” and “*inevitable*” that transmission monopolists will “act in their own self-interest to the detriment of others by refusing transmission and/or providing inferior transmission to competitors”²⁸—in this case, to force customers to take types of monopoly service, including gross-billed network transmission service and distribution service, that they do not need and do not want. It is not a question of whether Transmission Owners want more load—of course they do, but only in the configuration and designs that favor them. Utilities are discriminating against large load projects with configurations that they disfavor because these configurations do not allow them to build more rate base and

²⁵ See, e.g., Initial Comments of International Energy Credit Association at 7 (filed Nov. 21, 2025) (stating load interconnection delays are less prevalent in non-RTO regions, such as the Southeast) (“International Energy Comments”).

²⁶ MISO States Comments at 8 (emphasis in original); see also Comments of MISO Transmission Owners at 16 (filed Nov. 21, 2025) (stating there is “robust competition among utilities” and there is “every incentive to interconnect loads as efficiently as possible”) (“MISO Transmission Owners Comments”).

²⁷ Comments of Maryland Public Service Commission at 4 (filed Nov. 21, 2025) (emphasis added) (“Maryland PSC Comments”).

²⁸ *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, FERC Stats. & Regs. ¶ 31,036, 31,682 (1996) (cross-referenced at 75 FERC ¶ 61,080 (1996)) (emphasis added).

maximize service charges. As discussed in the prior section, the record in the PJM Show Cause proceedings demonstrates this.²⁹

C. The Commission Should Accommodate Regional Differences

RTOs and numerous other entities highlight a third area of consensus, cautioning the Commission to “be mindful of regional differences that might limit the success of a ‘one size fits all’ mandate” as “[s]hifting to standardized large load interconnection procedures could nullify currently effective processes and/or delay significant work that has been undertaken and currently ongoing.”³⁰ The NOPR should continue to accommodate regional differences. While the NOPR is

²⁹ See, e.g., Constellation Energy Generation, LLC, Complaint Requesting Fast Track Processing, Docket No. EL25-20-000, et al., at 8 (filed Nov. 22, 2024) (“Co-locating a new large load with a generator results in faster service on different terms but such projects are being held hostage by a few monopolies refusing to cooperate with reliability studies related to interconnection modifications.”).

³⁰ Comments of the Midcontinent Independent System Operator, Inc. at 3 (filed Nov. 21, 2025) (“Consequently, the Commission should be mindful of regional differences that might limit the success of a ‘one size fits all’ mandate.... Shifting to standardized large load interconnection procedures could nullify currently effective processes and/or delay significant work that has been undertaken and currently ongoing.”) (“MISO Comments”); see Comments of the Southwest Power Pool, Inc. at 2 (filed Nov. 21, 2025) (“SPP encourages the Commission to provide flexibility in any rules adopted based on the vast regional differences across the country.... Rather than pursuing a ‘one-size fits all’ approach, the Commission should consider allowing each Regional Transmission Organization (‘RTO’) and Independent System Operator (‘ISO’) ... the latitude to design for these differences.”) (“SPP Comments”); PJM Comments at 4 (“If required, PJM would take all necessary steps to implement a federally-regulated large load interconnection process...any centralized and uniform process must not exclude EDCs and TOs from the study and agreement process”); Comments of the New York Independent System Operator, Inc. at 3-4 (filed Nov. 21, 2025), (“Uniform solutions will not account for variations among regions resulting from unique region-specific planning, interconnection approaches, and market structures.... [T]he NYISO urges the Commission to provide flexibility ... to account for the unique circumstances and challenges that exist in its regions.”); Comments of ISO New England Inc. at 5 (filed Nov. 21, 2025) (“The Commission should provide flexibility for the New England region to formulate interconnection procedures that apply to transmission facilities that are already classified as PTF or Non-PTF.”) (“ISO-NE Comments”); see also, e.g., Comments of the State Attorneys General and Consumer Advocates at 6 (filed Nov. 21, 2025) (“[T]he commission should also ensure that any final rule does not preclude states and regional transmission organizations (‘RTO’) from instituting their own specific, tailored rules regarding large load interconnections within their territories. While the State Entities support the development of baseline federal standards grounded in statutory authority, different regions across the country should be allowed to build upon federal standards to create rules that address unique regional challenges and opportunities.”); Comments of National Grid PLC at 3 (filed Nov. 21, 2025) (“Any Commission rule in this proceeding should allow regional flexibility to build on procedures already in effect or to adapt general requirements to the unique needs of each region.”) (“National Grid Comments”); Comments of the National Rural Electric Cooperative Association at 6 (filed Nov. 21, 2025) (“any assertion of jurisdiction over large-load interconnections should be flexible enough to accommodate regional differences”) (“NRECA Comments”); Comments of Eversource Energy at 5 (filed Nov. 21, 2025) (encouraging the Commission to provide flexibility either “in the process described in the final rule or through the accommodation of regional variations as part of the compliance process”).

underway, the Commission should also continue to act expeditiously on pending large load interconnection adjudications. This includes issuing a region-specific order in PJM.

D. The Commission Should Avoid Unnecessary Jurisdictional Fights

A fourth area of consensus is that the Commission should avoid unnecessary jurisdictional fights in any national rule because a “jurisdictional dispute over load interconnection would be counterproductive.”³¹ In Constellation’s view, the Commission has the authority to assert jurisdiction over all large load interconnections to transmission facilities. But to the extent the Commission chooses to proceed on narrower, less-controversial grounds, it should assert jurisdiction over hybrid facilities at a shared point of interconnection. The Commission’s jurisdiction is over the *interconnection facilities*, not any retail sale. As discussed immediately below under Principle 1, the record demonstrates that hybrid facilities provide a “crystal clear” and “straightforward” case for federal authority.³² In the PJM proceedings, Constellation advocates a replacement rate that only requires the Commission to exercise jurisdiction over hybrid facilities

³¹ Maryland PSC Comments at 5 (“A jurisdictional dispute over load interconnection would be counterproductive.”); *see* OPSI Comments at 2-3 (“Rather than relitigating the long-standing division of authority ... it would be more efficient to search for solutions that promote consensus ... rather than rushing questionable modifications to long-standing, statutorily defined jurisdictional divisions.”); NY Transmission Owners Comments at 11 (“Prescriptive federal mandates ... could unsettle the well-established division of federal and state roles and disrupt ongoing state and regional work”); Comments of the Pennsylvania Office of Consumer Advocate and the Delaware Division of the Public Advocate at 10 (filed Nov. 21, 2025) (“The ANOPR risks lengthy, burdensome, and meritorious legal challenges ... and ignores the FPA’s explicit acknowledgements of state jurisdiction.”) (“PA Office of Consumer Advocate & DE Division of Public Advocate Comments”); Motion to Intervene and Comments of DTE Electric Company at 13 (filed Nov. 21, 2025) (“Expanding federal jurisdiction ... risks jurisdictional disputes and regulatory uncertainty, stifling investment ... any decision to pursue such expanded jurisdiction is likely to be challenged ... and could impede investment for years.”).

³² Constellation Comments at 7, 10; *see also* EPSA Comments at 12 (“The ANOPR states that ‘the interconnection of large loads to the transmission system falls under a practice directly affecting Commission-jurisdictional wholesale electricity rates.’ That is clearly correct where hybrid facilities are concerned, for the same reason it is correct where the generation portion of the hybrid facility is interconnecting on a stand-alone basis.”) (citation omitted).

with a shared point of interconnection (PJM Option 2), thereby avoiding broad jurisdictional questions.³³

II. Constellation Continues to Support the ANOPR's Principles with Qualifications

Constellation reaffirms its support for the ANOPR's fourteen principles, with limited qualifications.³⁴ Constellation offers additional comments on Principles 1, 4, 7, 8, 9, 10, 11, and 14 below.

Principle 1—Confirming Federal Jurisdiction Over Large Load Interconnections to Interstate Transmission Facilities

Constellation agrees with the ANOPR's principle that the Commission has jurisdiction over interconnections directly to transmission facilities.³⁵ As Constellation explained in its initial comments, such interconnections—as opposed to the rates applicable to retail customers—are well within the scope of the Commission's jurisdiction under the FPA.³⁶ But the Commission need not address the full scope of its jurisdiction over large load interconnections in order to resolve the pending PJM Show Cause proceedings. Rather, the Commission can rule immediately that it has jurisdiction over the *interconnection of hybrid facilities*—that is, configurations with a shared point of interconnection (*i.e.* the proposed PJM Option 2)—while further considering its jurisdiction over large load interconnections more generally during the rule-making process.³⁷

³³ PJM Option 2 is firm Network Integrated Transmission Service with in-front-of-the-meter co-location.

³⁴ Constellation Comments at 7-43.

³⁵ ANOPR at ¶ 18. While the ANOPR adds that this principle is “consistent with the Commission’s seven-factor test,” the Commission need not resort to that test to conclude that it has jurisdiction over large load interconnections to interstate transmission facilities, as explained further below.

³⁶ See Constellation Comments at 7-13.

³⁷ See Constellation’s April 23, 2025 Show Cause Answer at 6.

Hybrid facilities present an easy jurisdictional call.³⁸ Hybrid large loads, such as the configuration in PJM Option 2,³⁹ are transmission customers that can draw power both from the co-located generator as well as the grid. Regulation of the interconnection between a generator and the interstate transmission grid is well within the scope of the Commission’s jurisdiction,⁴⁰ and the Commission does not lose its jurisdiction over that interconnection simply because a load also happens to interconnect at the same point. Even the ANOPR’s critics acknowledge that “hybrid configurations,” among others, should be “FERC-jurisdictional.”⁴¹

Whether the Commission has previously exercised its jurisdiction to regulate the interconnection of hybrid facilities does not affect its ability to do so now. And the Commission has good reason to exercise that jurisdiction *now*. As Constellation discussed in its comments and as demonstrated in the PJM Show Cause record, the current jurisdictional uncertainty over hybrid facilities has given Transmission Owners the ability to delay or deny hybrid facility proposals and impose terms that are neither just nor reasonable.⁴²

³⁸ See Constellation Comments at 7-9; see also Comments of Vistra Corporation at 31-32 (filed Nov. 21, 2025) (“[T]he co-location of load and generation at a single point of interconnection—represents the lowest hanging fruit for the Commission to make significant progress quickly in facilitating the infrastructure needed to win the AI race.”) (“Vistra Comments”); Entergy Comments at 12 (“If the Commission’s action is limited to providing new rules for existing load that co-locates with new generation or existing generation interconnections, the Commission does not need to expand its exercise of jurisdiction to interconnections of retail customers.”); EPSA Comments at 12 (“The ANOPR states ‘the interconnection of large loads to the transmission system falls under a practice directly affecting Commission-jurisdictional wholesale electricity rates.’ That is clearly correct where hybrid facilities are concerned.”).

³⁹ See Constellation’s April 23, 2025 Show Cause Answer at 38.

⁴⁰ *Pac. Gas & Elec. Co.*, 115 FERC ¶ 61,193, at P 36 (2006).

⁴¹ Initial Comments of R Street Institute at 6-7 (filed Nov. 21, 2025); see also Pennsylvania PUC Comments at 11 (“There is no clear Congressional authorization to expand FERC jurisdiction to pure load interconnection of any size. However, if limited to hybrid interconnections of load and generation at the same point-of-interconnection, there may be greater room for discussion.”); SEIA Comments at 8 (“This jurisdictional finding should extend to any generation that may be co-located with the large load.”).

⁴² See Constellation Comments at 17-18; Constellation’s April 23, 2025 Show Cause Answer at 14-15.

The Commission, in fact, has repeatedly asserted its statutory jurisdiction to root out undue discrimination. For instance, in Order No. 888, the Commission asserted its jurisdiction over unbundled retail transmissions because “electric utilities were discriminating in the ‘bulk power markets,’ in violation of § 205 of the FPA, by providing either inferior access to their transmission networks or no access at all to third-party wholesalers of power.”⁴³ Likewise, in Order No. 841, the Commission asserted its jurisdiction “to remove existing barriers to the participation of electric storage resources (‘ESRs’) in the Regional Transmission Organization and Independent System Operator markets.”⁴⁴ Although various trade groups representing utilities argued that the Commission lacked jurisdiction to “bar[] States from ‘broadly prohibiting’ local ESRs from participating in RTO/ISO markets,”⁴⁵ the D.C. Circuit held that the Commission properly exercised its jurisdiction.⁴⁶ And, in Order No. 2222, the Commission similarly asserted its jurisdiction to remove “barriers to the participation of distributed energy resource aggregations in the RTO/ISO markets,” as those barriers were “reduc[ing] competition and fail[ing] to ensure just and reasonable rates.”⁴⁷

So too here. Transmission Owners have erected artificial barriers to the interconnection of large loads to the interstate grid, and the Commission should therefore exercise its jurisdiction over interconnections to stamp out such undue discrimination.

⁴³ *New York v. FERC*, 535 U.S. 1, 11 (2002) (affirming Order No. 888).

⁴⁴ *Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 964 F.3d 1177, 1182 (D.C. Cir. 2020).

⁴⁵ *Id.* at 1184.

⁴⁶ *Id.* at 1189.

⁴⁷ *Participation of Distributed Energy Res. Aggregations in Markets Operated by Regional Transmission Org. & Indep. Sys. Operators*, 172 FERC ¶ 61,247 at PP 26, 38-44 (2020).

Some commenters wrongly argue that Section 212(h) of the FPA limits the Commission’s jurisdiction over all large load interconnections.⁴⁸ But that section does not change the analysis. Section 212(h) prohibits the Commission from issuing an order that is “conditioned upon or require[s] the transmission of electric energy: (1) directly to an ultimate consumer, or (2) to, or for the benefit of, an entity if such electric energy would be sold by such entity directly to an ultimate consumer.”⁴⁹ That provision, in short, “prohibits the Commission from ordering retail wheeling directly to an ultimate consumer.”⁵⁰ That, however, in no way limits the Commission’s jurisdiction to regulate a hybrid facility’s point of *interconnection*. As the Commission has explained, “section 212(h) only applies to *transmission* orders, not requests for *interconnection*.”⁵¹ Transmission service and interconnection service are two separate Commission-regulated services,⁵² and an order regulating the terms of an interconnection—even if that interconnection is necessary to transmit energy—is not the same as an order directing the transmission of energy.⁵³ Section 212(h)

⁴⁸ See, e.g., Initial Comments of the National Association of Regulatory Utility Commissioners at 4 (filed Nov. 21, 2025) (“In addition, FPA section 212(h) prohibits FERC from directing the provision of transmission directly to end users (retail wheeling).”); Comments of the Edison Electric Institute at 27 (filed Nov. 21, 2025) (“Congress’s addition of section 212(h) to the FPA, many decades after section 201 was enacted, may prevent a large load or its agent from obtaining transmission service absent state approval.”) (“EEI Comments”); NRECA Comments at 13-14 (“[T]he Commission is prohibited from using load-interconnection service to provide transmission service to an ultimate consumer in violation of section 212(h) of the FPA.”).

⁴⁹ 16 U.S.C. § 824k(h).

⁵⁰ *Detroit Edison Co. v. FERC*, 334 F.3d 48, 54 (D.C. Cir. 2003).

⁵¹ *THSI bn, LLC*, 185 FERC ¶ 61,032, at P 60 (2023); see also *Pac. Gas & Elec. Co. v. FERC*, 44 F. App’x 170, 173 (9th Cir. 2002).

⁵² *United States DOE*, 124 FERC ¶ 61,018, at P 27 (2008) (“While we recognize that there may be a practical linkage between interconnection and transmission (i.e., which the Commission has sometimes described as delivery) service, the two services are nevertheless distinct, and the Commission has not required that they be linked.”).

⁵³ See *Laguna Irrigation Dist.*, 95 FERC ¶ 61,305, 62,038 (2001) (“[S]ection 212(h), and its provisions, taken together, indicate an intent to preclude Commission orders requiring the delivery of energy either directly to retail customers, or indirectly to retail customers under certain circumstances. We did not do that here. We ordered only an interconnection.”).

therefore does not prohibit the Commission from asserting jurisdiction over a hybrid facility's interconnection.

Similarly, the Commission should reject the argument that its jurisdiction over large load interconnection is limited to “where transmission service is provided to customers as an unbundled product.”⁵⁴ The FPA does not limit the Commission's jurisdiction over interstate transmissions—and, accordingly, interconnections to the interstate grid—based on whether the ultimate retail sale of that energy is bundled or unbundled.⁵⁵ As the Commission has itself recognized, it has jurisdiction over interconnections “based on the nature of interconnection to the transmission system generally, not the purpose for such interconnection (*i.e.*, to make a wholesale sale or to make a wholesale or retail purchase).”⁵⁶ And, again, the ANOPR does not purport to regulate retail sales.

The Commission should also confirm that its jurisdiction over the interconnection extends to hybrid facilities' low-voltage facilities that step down the power from the interstate grid at the shared point of interconnection to the load. Some commenters suggest that “last mile” facilities should be deemed distribution facilities that are outside the Commission's jurisdiction.⁵⁷ But that

⁵⁴ Duke Comments at 7-9; *see also* Initial Comments of the National Association of State Utility Consumer Advocates at 7 (filed Nov. 21, 2025) (“[T]he plain language of the ANOPR would allow large loads in states without retail choice to bypass retail distribution utilities to take service directly from wholesale markets or from third-party generators that are located at a hybrid facility and directly impinge on States' authority over retail electricity sales.”); Comments of the Northeastern Rural Electric Membership Corporation at 2-3 (filed Nov. 21, 2025) (“Granting a federal right of interconnection to large loads could enable these loads to obtain de facto retail access to alternative suppliers across the transmission system, even in states that maintain exclusive monopoly service territories and prohibit retail competition.”) (“NREMC Comments”).

⁵⁵ *See* 16 U.S.C. § 824(b)(1).

⁵⁶ PJM Show Cause Order, 190 FERC ¶ 61,115 at P 72.

⁵⁷ *See, e.g.*, Pennsylvania PUC Comments (“[L]ast mile facilities used exclusively for delivering energy sold for end-use to customers satisfy all the factors to be classified as local distribution.”); PA Office of Consumer Advocate & DE Division of Public Advocate Comments at 6-7 (arguing that the ANOPR “bypasses the consideration that end-use interconnection does not generally occur directly to transmission facilities, but through local distribution facilities, which fall squarely within state jurisdiction” (internal quotations omitted)).

argument misstates the role that step-down facilities play with respect to large load interconnections. A large load physically cannot interconnect to the grid without a step-down facility that properly reduces the voltage.⁵⁸ And because the step-down facility is part and parcel of the interconnection between the large load and the interstate grid, and because “interconnection is part and parcel of transmission of electric energy in interstate commerce,”⁵⁹ it follows that that step-down facility is part and parcel of the transmission system as well.

This conclusion is supported by the plain text of the FPA. The statute provides the Commission with jurisdiction over “*all facilities for [the interstate] transmission of ... electric energy.*”⁶⁰ Plainly understood, that means that any facility that is necessary for the interstate transmission of energy—and, thus, interconnections to the interstate grid—is within the scope of the Commission’s jurisdiction.

While it is true that, generally, “[l]ocal distribution systems will be of reduced voltage,”⁶¹ that does not mean that every low-voltage facility is a distribution facility. For instance, the Commission has previously recognized its jurisdiction over “low-voltage transmission facilities” when “they are used to transmit electric energy in interstate commerce on behalf of a wholesale purchaser.”⁶² Here, the purpose of low-voltage step down facilities is precisely to enable a Commission-jurisdictional interconnection—they exist to allow the large load to interconnect with

⁵⁸ See U.S. Dep’t of Energy, “How It Works: Electric Transmission & Distribution and Protective Measures” at 1, available at https://www.energy.gov/sites/default/files/2023-11/FINAL_CESER%20Electricity%20Grid%20Backgrounder_508.pdf.

⁵⁹ *Pac. Gas & Elec. Co.*, 115 FERC ¶ 61,193, at P 36 (2006).

⁶⁰ 16 U.S.C. § 824(b)(1) (emphasis added).

⁶¹ *S. Cal. Edison Co.*, 153 FERC ¶ 61,384, at P 4 (2015).

⁶² *Midwest Indep. Transmission Sys. Operator*, 109 FERC ¶ 61,157, at P 403 (2004).

the interstate grid.⁶³ The facilities are not embedded within a distribution network or distribution system, nor are they used to serve multiple customers in a local area—hallmarks of typical distribution facilities.⁶⁴ Rather, their sole purpose is to enable a Commission-jurisdictional interconnection, and because that is their sole purpose and function, they are within the scope of the Commission’s jurisdiction as well.

And it does not matter, as some commenters observe, that “power flows into [them] ... without being reconsigned for wholesale sale.”⁶⁵ That is but one factor of the Commission’s seven-factor test, and it alone is not dispositive. As the Supreme Court has made clear, “[t]here is no language in the [FPA] limiting FERC’s *transmission* jurisdiction to the wholesale market.”⁶⁶ The Supreme Court in fact rejected the notion of a “bright jurisdictional line between wholesale transactions and retail transactions” when it comes to the Commission’s jurisdiction over the transmission of energy.⁶⁷ Accordingly, the fact that power flows from the step-down facility to the large load (and not the wholesale market) has no bearing on the Commission’s transmission jurisdiction.

⁶³ Cf. *Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 475 F.3d 1277, 1282 (D.C. Cir. 2007) (affirming FERC’s jurisdiction over “interconnections to a ‘distribution’ facility when the facility is included in a public utility’s Commission-filed OATT and the interconnection is for the purpose of facilitating a jurisdictional wholesale sale of electric energy.”).

⁶⁴ See *Cal. Pac. Elec. Co., LLC*, 133 FERC ¶ 61,018, at P 46 (2010).

⁶⁵ Maryland PSC Comments at 3.

⁶⁶ *New York*, 535 U.S. at 16. Some commenters point to the Commission’s statement in Order 888 that “even when our technical test for local distribution facilities identifies no local distribution facilities for a specific transaction, we believe that states have authority over the service of delivering electric energy to end users.” PA Office of Consumer Advocate & DE Division of Public Advocate Comments at 9 (quoting Order 888). But that statement was made specifically “in the context of retail wheeling,” not step-down facilities. *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities and Recovery of Stranded Costs by Public Utilities and Transmitting Utilities*, Order No. 888, FERC Stats. & Regs. ¶ 31,783 (1996). Regardless, that statement simply acknowledges that, consistent with the FPA, states have jurisdiction over the local distribution of energy. It did not purport to curtail the Commission’s clear jurisdiction over facilities for the *transmission* of energy, especially hybrid facilities over which the Commission has long and properly asserted jurisdiction.

⁶⁷ *New York*, 535 U.S. at 17.

At any rate, the Commission’s seven factor test is of limited utility in this context. PJM, for example, questions whether “the Commission’s seven-factor test [is] sufficiently workable to apply on a case-by-case basis, with regulatory uncertainty, to inform the dividing line between federal and retail jurisdiction over transmission versus distribution facilities.”⁶⁸ As other commenters have noted, the seven-factor test “would result in substantial uncertainty for loads” and result in a “lengthy process [that] would defeat the core purposes—speed and efficiency—which the ANOPR had in mind.”⁶⁹ And there is no need for that here. Step-down facilities, as integral elements of any large load interconnection, should be considered as part and parcel with the interconnection and thus within the Commission’s jurisdiction.

Asserting such jurisdiction, moreover, is necessary to protect the Commission’s jurisdiction over interconnection. If the Commission does not assert jurisdiction over “last mile” (or, more accurately, “last meter”) large load interconnection facilities, Transmission Owners can leverage their control over that portion of those facilities to retain control over the interconnection of large loads more generally. That would defeat both the ANOPR’s purpose and the broad statutory grant of jurisdiction to the Commission over all interstate transmission, including retail transmissions and including interconnections. As noted above, the Commission has repeatedly

⁶⁸ PJM Comments at 4; *see also* Order No. 888-A, 62 Fed. Reg. at 12,370-71 (1996) (rejecting state commission’s argument that state jurisdiction should extend “to the ‘service’ of delivering electric energy to retail customers, which [the] state commission] would define to give it jurisdiction regardless of the nature and extent of the facilities used to make the delivery”).

⁶⁹ EPSA Comments at 14; *see also* Eolian Comments at 7 (“Unfortunately, the seven-factor test is no model of clarity, as evidenced by the volume of litigation it has engendered.”); Comments of NRG Energy, Inc. at 7 (filed Nov. 19, 2025) (“As the Commission knows, application of the seven factor test can be complex and time-consuming. Indeed, in a number of the cases where the Commission has been tasked with applying the test, the issues have been sufficiently complex as to require hearing procedures, with the result that full adjudication of the issues has taken years.”).

asserted its jurisdiction to end undue discrimination by Transmission Owners in a variety of contexts.⁷⁰ It should do so again here.

Principle 4—Adopting Standardized Interconnection Rules and Expediting Service to Large Loads

The ANOPR’s fourth principle proposes standardized study deposits, readiness requirements, and withdrawal penalties to large loads and hybrid facilities.⁷¹ Constellation and numerous other commenters agree that standards for large loads and hybrid facilities are necessary to deter speculative load requests, undue discrimination, and unjust and unreasonable interconnection terms and conditions.⁷² There are lessons to be learned from the standard generator interconnection procedures established in Order No. 2003 and revised by Order No. 2023.⁷³ Even so, perfect should not be the enemy of the good.

We also note that the Commission should be wary of arguments to adopt Transmission Security Agreements (“TSAs”) as a “model” for emulation.⁷⁴ TSAs are only a “valuable tool to

⁷⁰ See *supra* at 16.

⁷¹ ANOPR at ¶ 21.

⁷² See, e.g., Comments of Buckeye Power, Inc. at 3 (filed Nov. 21, 2025) (supporting requirements to deter speculative projects) (“Buckeye Power Comments”); Comments of American Transmission Company at 12 (filed Nov. 21, 2025) (similar) (“American Transmission Comments”); PA Office of Consumer Advocate & DE Division of Public Advocate Comments at 19-20 (similar); Eolian Comments at 20-21 (stating standards are necessary to deter the incentive and ability to discriminate against their competitors.); Vistra Comments at 24 (stating standards are necessary to deter the incentive and ability to discriminate against their competitors); Comments of Invenergy Wind Development North America LLC, et al. at 7 (filed Nov. 21, 2025) (similar) (“Invenergy Comments”).

⁷³ See, e.g., MISO States Comments at 14-16 (discussing challenges arising under Order No. 2003 standard generator interconnection procedures); Geronimo Comments at 8-11 (similar); Comments of Exelon Corporation at 15-18 (stating reliance on Order No. 2003 as a supportive analog may be “problematic”) (“Exelon Comments”); Comments of Southeast Public Interest Organizations (stating Order No. 2003 can inform the Commission’s approach to standardized interconnection procedures and requirements) (“Southeast PIO Comments”); Comments of Electricity Alliance at 9 (filed Nov. 21, 2025) (stating the current situation resembles the circumstances leading to Order No. 2003).

⁷⁴ Exelon Comments at 6 (commenting on the interconnection queues); see also Constellation Comments at 18; Comments of Indicated PJM TOs at 16-17 (filed Nov. 21, 2025); Buckeye Power Comments at 26-29; AES Comments at 6, 9-11.

meet the moment”⁷⁵ if bounded by clear guideposts to avoid delay, deterrence of legitimate projects, and anti-competitive conduct.

Principle 7—Expediting Interconnection Studies for Curtailable Loads

The ANOPR proposes that interconnection studies for “large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited.”⁷⁶ There is strong record support for curtailable service.⁷⁷ Voluntary curtailable load provisions are being developed⁷⁸ and adopted.⁷⁹ Commenters recognize the benefits of voluntary curtailable load as a bridge to firm service and a product itself. Stated simply, “[l]arge loads that

⁷⁵ Exelon Comments at 6; *see also* Constellation Comments at 19 (“Another current example of Transmission Owners leveraging their control over interconnection is in the negotiation of Transmission Security Agreements (“TSAs”). While Constellation is supportive of the concept of TSAs to deter speculative load interconnection requests, it is important that those TSAs contain some component reflective of upgrade costs (to create an incentive to locate most efficiently), and that they do not discourage legitimate projects by locking in one-size fits all gross billing arrangements.”).

⁷⁶ ANOPR at ¶ 24.

⁷⁷ *See, e.g.*, Comments of the Office of the Ohio Consumers’ Counsel at 8 (filed Nov. 21, 2025) (“OGC recognizes the potential value of large loads that agree to be curtailable or dispatchable as system resources.”); Maryland PSC Comments at 9 (“The Maryland PSC understands ... incentivizing a willingness by large load customers to curtail—may yield system benefit.”); *see also* Comments of California Independent System Operator Corporation at 12-13 (filed Nov. 21, 2025); MISO States Comments at 25; Comments of Tri-State Generation and Transmission Association, Inc. at 7-8 (filed Nov. 21, 2025) (“Tri-State Comments”); Comments of American Electric Power Service Corporation at 3 (filed Nov. 21, 2025) (“AEP Comments”); Comments of Splight Inc. at 3 (filed Nov. 21, 2025); Eolian Comments at 1-2, 18, 24-27, 29-33; Comments of Vantage Data Centers at 7-8 (filed Nov. 21, 2025); Comments of Digital Power Network at 4 (filed Nov. 21, 2025); Southeast PIO Comments at 48-50; ECA Comments at 21; Comments of Engie North America, Inc. at 9-10 (filed Nov. 21, 2025); Comments of the Distributed Capacity Parties at 1-2 (filed Nov. 21, 2025); Comments of the Information Technology Industry Council at 2 (filed Nov. 21, 2025); Comments of Verrus at 2 (filed Nov. 21, 2025); Comments of Microsoft, Inc. at 10-11 (filed Nov. 21, 2025); Comments of Thermal Battery Alliance at 4 (filed Nov. 21, 2025).

⁷⁸ *See, e.g.*, SPP Comments at 6 (discussing SPP’s proposed new conditional non-firm Transmission Service process, known as Conditional High Impact Large Load Service (“CHILLS”) that SPP states will “allow the expedited connection of large loads” that are “subject to curtailment or interruption until they have the requisite transmission and sufficient Designated Resources.”).

⁷⁹ *See* Duke Comments at 6 (“[d]ue to near-term resource planning sensitivities, Duke Energy has incorporated temporary curtailment provisions into new retail Electric Service Agreements to provide limited-term operational flexibility until new resources are placed into service.”); *see also* Comments of Longroad Energy Holdings, LLC to Adopt Open Access 2.0 at 7 (filed Nov. 21, 2025) (recommending ERCOT’s “Connect and Manage” process as a best practice); AEP Comments at 7-10 (similar).

agree to curtailment or other flexibility can help reduce or defer costly network upgrades, make better use of existing transmission capacity, and accelerate interconnection timelines.”⁸⁰

In the PJM Show Cause proceedings, PJM proposed Option 7 that would allow interruptible large loads to interconnect at a faster pace.⁸¹ The Commission should approve PJM Option 7 as modified by Constellation.⁸²

Principle 8—Allocating Network Upgrade Costs Based on Appropriate Studies

Constellation takes no position on the ANOPR’s eighth principle about directly assigning 100% of the network upgrades to large loads,⁸³ but highlights two points raised in the ANOPR comments: *First*, numerous Transmission Owners oppose direct assignment of network upgrade costs to large loads, preferring to rate base these costs because according to them “it is in the interest of all parties to protect native retail load customers.”⁸⁴ Rolling billions of dollars of network upgrades into rate base is not an intuitive way of “protecting customers.”⁸⁵ Regardless, the Commission’s policy should create strong incentives for co-location because *co-location minimizes upgrade costs*, and that is ultimately what protects consumers. This means that the Commission should ensure that Transmission Owners’ own favored configuration—directly to their transmission facilities, rolled-in, and charged gross rates—is not the exclusive means to interconnect large loads as it creates comparatively weak incentives to co-locate.

⁸⁰ National Grid Comments at 5.

⁸¹ See Answer of PJM Interconnection, L.L.C., Docket No. EL25-49-000, et al., at 18-19 (filed Mar. 24, 2025).

⁸² See Constellation Comments at 26; see also Answer of Constellation Energy Generation, LLC, Docket No. EL25-49-000, et al., at 9 (filed Apr. 23, 2025).

⁸³ ANOPR at ¶ 25.

⁸⁴ National Grid Comments at 13.

⁸⁵ *Id.* (initial capitalization omitted).

Second, like jurisdiction, this is another fight that the Commission does not need to tackle head on to issue an order in PJM. Using Susquehanna Nuclear as an example, PJM explained that under its “Necessary Studies” process to modify an existing generator interconnection, any necessary cost upgrades already are assigned “directly to the cost causer, which would seem to address ANOPR Principle 8 *without requiring any additional FERC action*.”⁸⁶ PJM also pointed out that its Necessary Studies process already studies the generator and the load together in a configuration like Susquehanna Nuclear’s proposed behind-the-meter service to the data center.⁸⁷ “In this sense, at least some of the reliability impacts of load integrations (in particular, the transmission impacts) can be accounted for where hybrid facilities are studied and implemented subject to necessary study and local [utility] load integration processes today.”⁸⁸

Principle 9—Granting the Customer the Option to Build

Constellation supports extending the option to build to large-load interconnection customers on terms equivalent to those afforded to generator interconnection customers under Order No. 845.⁸⁹ Providing qualified customers the ability to construct interconnection facilities under host-utility standards reduces delay, increases certainty, and mirrors the efficiency benefits the Commission recognized when adopting the generator option to build.⁹⁰ Several categories of

⁸⁶ PJM Comments at 8-9 (emphasis added).

⁸⁷ *Id.* at 8. This is also relevant to ANOPR Principle 3 on combined studies, which Constellation discussed in its initial comments. *See* Constellation Comments at 13-17.

⁸⁸ PJM Comments at 9. We discuss this further *infra* at Principle 14.

⁸⁹ ANOPR at ¶ 26; *see Reform of Generator Interconnection Procedures and Agreements*, Order No. 845, 163 FERC ¶ 61,043, at PP 85-87 (2018) (“Order No. 845”), *order on reh’g*, Order No. 845-A, 166 FERC ¶ 61,137 (2019), *order on reh’g & clarification*, Order No. 845-B, 168 FERC ¶ 61,092 (2019).

⁹⁰ *See* Order No. 845, 163 FERC ¶ 61,043 at P 86 (finding that an interconnection customer may be able to complete the transmission provider’s interconnection facilities and stand-alone network upgrades more quickly and at lower cost than the transmission provider, and citing evidence that a NextEra affiliate completed a “project one year sooner and for \$6 million less than estimated by the transmission provider”); *id.* P 85 (explaining that the option to build “provid[es] interconnection customers more control and certainty during the design and construction phases of the interconnection process”).

commenters support extending option-to-build parity, explaining that customers capable of constructing facilities often do so more quickly and cost effectively than transmission owners and that customer construction is consistent with efficient planning practices for both load and hybrid resources.⁹¹ Other commenters note that customers may build sole-use facilities so long as construction complies with utility standards and the facilities are transferred to the utility before energization, a model Constellation fully supports.⁹²

Opposition to extending the option to build comes largely from utilities and Transmission Owners who argue, without meaningful evidence, that only incumbents should construct interconnection facilities, that large load customers lack the expertise or NERC status to do so, and

⁹¹ See Comments of EDF Power Solutions, Inc. at 17 (filed Nov. 21, 2025) (“Load and hybrid facility interconnection customers should be afforded the same option to build interconnection facilities and network upgrades as currently provided to generator interconnection customers. In hybrid facility interconnections especially, co-located generation is in a good position to undertake the option to build on behalf of the co-located facilities to expedite the construction of eligible upgrades.”) (“EDF Comments”); Comments of LS Power Development, LLC at 10 (filed Nov. 21, 2025) (Large load developers should not be held back by transmission owner construction delays and cost.); NREMC Comments at 5 (“Interconnection customers who are not transmission owners should absolutely be afforded the same or equivalent option to build as generator interconnection customers. Transmission owners should not be permitted to delay or impede the interconnection process if the customer has the capability to construct the necessary facilities themselves. Allowing interconnection customers to exercise this option ensures timely project development, maintains a level playing field, and prevents unnecessary bottlenecks in the interconnection process.”); ECA Comments at 22 (“Given the scale of needed infrastructure investment needed to meet large load growth driven by AI, data centers, advanced manufacturing and growth in the industrial sector, the Commission should ensure that large load customers have the opportunity to fund and build needed upgrades to support their growth. This approach helps protect existing customers from inappropriate cost shifts by facilitating the ability for growing loads to pay for their own needs. Without this option ... costs ... [are] allocated to all customers (including existing residential ratepayers) in their zone.”); *see also* NY Transmission Owners Comments at 17-18 (“Option-to-build authority is appropriate only for facilities used exclusively by the requesting customer ... [and] [f]or any facility planned, modeled, or dispatched as part of the transmission network, the Transmission Owner must retain the right to fund, build, own, and operate the asset.”); Tri-State Comments at 8, (“Tri-State supports the interconnection customer’s right to build, as long as the same rules apply to the transmission owner and the interconnection customer ... the upgrades eligible under the option to build must be stand alone upgrades and must be consistent with transmission owner’s design standards/requirements.”); American Transmission Comments at 20 (ATC encourages the Commission to incorporate transmission owner initial-funding in any future requirements related to load interconnection procedures.)

⁹² See Comments of the Pacific Gas & Electric Company at 18 (filed Nov. 21, 2025) (“Ownership of the customer constructed facilities must be transferred to the utility after the facilities are completed and before energization.”) (“PG&E Comments”).

that customer construction could disrupt traditional utility roles or reliability obligations.⁹³ These concerns repeat arguments previously raised and rejected when the Commission adopted the generator option to build, where the Commission determined that customers can successfully construct facilities under utility oversight without undermining reliability and that customer construction can reduce cost and accelerate timelines.⁹⁴ The Commission should therefore maintain an option to build for large load customers.

Principle 10—Assigning Appropriate Upgrade Costs to Co-Locating Existing Generation

As Constellation anticipated, Principle 10 was seized upon by parties who claim that existing generators must always serve the grid—and only the grid—even though Principle 10 said

⁹³ See Comments of FirstEnergy Service Company at 10 (filed Nov. 21, 2025) (“Providing large load customers an option to build will ... frustrate the ANOPR’s goal of accelerating the interconnection of large loads... The most efficient and cost-effective approach is to have experienced transmission-owning utilities continue to build the transmission facilities associated with large load customers.”); PJM Transmission Owners Comments at 32, 33, 35. 36 (“The Commission should not grant large load customers an option to build.... [T]here is no indication that these entities possess the relevant knowledge, expertise, or staffing sufficient to undertake the development and construction of electric transmission facilities.... As end-use customers, large load customers have no obligations to protect or maintain the reliability of the transmission system.... An option to build ... is likely to lead to disputes over what facilities qualify for the option.”); NY Transmission Owners Comments at 17 (“[A]ny extension of option-to-build authority to large load customers beyond customer-specific attachment facilities could conflict with a Transmission Owner’s obligation to ensure safe design, construction, and operation of the network facilities that it owns or operates.”); MISO Comments at 26 (“[L]oads are not currently required to register with NERC” and therefore, Principle 9 is impractical.); see also PPL Comments at 15 (discussing allegedly poor history to generator option to build without citing any evidence).

⁹⁴ See Order No. 845, 163 FERC ¶ 61,043 at P 91 (2018) (“Concerns that the option to build, as revised by the Final Rule, will compromise system reliability are misplaced because they ignore the safeguards for reliability already in place for the existing option to build.... These safeguards, embodied in article 5.2 of the pro forma LGIA, require, among other things, that the interconnection customer exercise good utility practice and adhere to the standards and specifications provided in advance by the transmission providers. Further, these safeguards give the transmission provider the right to approve the engineering design, equipment acceptance tests, and the construction itself... In this Final Rule, we make no changes to the requirements in article 5.2.”); *id.* P 39 (“[W]e emphasize that the Final Rule does not relieve interconnection customers of their existing responsibilities. Nor does it alter the ownership structure established in Order No. 2003 for interconnection facilities or network upgrades.”); *id.* P 40 (“We also disagree with arguments that the NOPR will compromise system reliability. We find that, for those reforms for which commenters have expressed reliability concerns, the Commission has either maintained existing safeguards or provided transmission providers with sufficient discretion to ensure that the reforms will not interfere with system reliability.... [T]he option to build, as modified by this Final Rule, does not relax any of the safeguards that the Commission first established in Order No. 2003.”).

no such thing.”⁹⁵ Old Dominion Electric Cooperative states that large load interconnections “should not include *any existing generators* that deactivate all or part of their capacity to execute more lucrative large-load bilateral supply contracts with large loads.”⁹⁶ Old Dominion Electric Cooperative further seeks to disqualify existing generators who undertake significant uprates, alleging without any evidence that this “is simply a scheme that allows merchant generation companies to negotiate lucrative supply contracts with wealthy new large loads at the expense of everyday consumers.”⁹⁷ The Maryland Public Service Commission adds that “[e]xisting generation currently serving customers should not be allowed to suspend their existing service, in whole *or in part*, simply to serve new large load. Such a suspension would have an adverse impact on cost and raise energy prices. Simply upgrading the transmission network does not resolve this problem.”⁹⁸

But there is no rule that generators must only serve the grid, and any such rule would be illegal. Generators cannot physically or economically withhold their power, and with few limitations, they can sell it to anyone they want.⁹⁹ None of the RTO, the grid, network customers, society at large, or previous owners acquire (or reacquire) ownership interests in a power plant no

⁹⁵ See Constellation Comments at 27-32 (discussing potential confusion created by the language of Principle 10). Principle 10 states that “an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (SSR)/reliability must run (RMR) type study. The study must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date.... We invite comments on whether and how resource adequacy should be considered in the SSR/RMR type study.” ANOPR at ¶ 27.

⁹⁶ Comments of Old Dominion Electric Cooperative at 10 (filed Nov. 21, 2025) (emphasis added) (“ODEC Comments”).

⁹⁷ *Id.*

⁹⁸ Maryland PSC Comments at 11-12 (emphasis added); see also PG&E Comments at 20 (“It is important that existing generators be available for or otherwise ensure reliability for all customers on the electrical grid rather than agreeing to serve a single large load customer at the expense of other customers.”).

⁹⁹ More precisely, generators can sell their power to any willing customer in their region. If they seek to sell outside their region, limitations may apply. The co-location configurations commonly discussed with large load interconnections would not involve non-regional sales.

matter how long the plant has been in service.¹⁰⁰ The concept that generators may only serve the grid is itself antithetical to competitive power markets, which have been a core focus of federal electric policy for at least thirty years.¹⁰¹

It also is wrong to treat an existing generator as if it is *retiring* when it starts serving a large load¹⁰² because—first and foremost—it is not retiring and is instead continuing to serve load. To assert otherwise would require assuming that there is no obligation to serve the large load. But large loads must be served like any other load.¹⁰³ The Electric Power Supply Association also explained that even if an existing generator “is moved behind-the-meter to serve data center load,”

¹⁰⁰ Imagine a scenario where RTO price outcomes do not reflect supply and demand fundamentals (*i.e.*, they are regularly too low) or are subject to frequent intervention (reduction) by other forces. Is an existing generator’s only recourse to declare bankruptcy? Of course not. They can look for buyers who attribute greater value to their product, the same as for nearly every other product in America’s free enterprise capitalist system.

¹⁰¹ *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. & Transmitting Utils.*, Order No. 888, FERC Stats. & Regs. ¶ 31,036, 31,682 (1996) (cross-referenced at 75 FERC ¶ 61,080 (1996)), *order on reh’g*, Order No. 888-A, FERC Stats. & Regs. P 31,048 (cross-referenced at 78 FERC ¶ 61,220), *order on reh’g*, Order No. 888-B, 81 FERC 61,248 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff’d in relevant part sub nom. Transmission Access Pol’y Study Grp. v. FERC*, 225 F.3d 667, 343 U.S. App. D.C. 151 (D.C. Cir. 2000), *aff’d sub nom. N.Y. v. FERC*, 535 U.S. 1, 122 S. Ct. 1012, 152 L. Ed. 2d 47 (2002).

¹⁰² See Motion to Intervene and Initial Comments of the New England Consumer-Owned Systems and Energy New England, LLC, at 14 (filed Nov. 21, 2025) (asserting that “retirement undertaken for the purpose of serving new private load outside of market constructs presents significant market integrity and consumer-protection concerns”) (“New England Consumer-Owned Systems Comments”). “Retirement ... for the purpose of serving new private load” is akin to transferring within the company, not retiring.

¹⁰³ The Independent Market Monitor for PJM’s ANOPR Comments attach a complaint it filed against PJM claiming that PJM cannot serve large loads until it first assures reliability. See Comments of the Independent Market Monitor for PJM at 6 (filed Nov. 25, 2025). There is no such exception to the general duty to serve load. See Constellation Comments at 39 (“Nearly every jurisdiction in the United States has promulgated regulations establishing a duty to serve.”); see, e.g., 220 Ill. Comp. Stat. 5/8-101 (“[a] public utility shall, upon reasonable notice, furnish to all persons who may apply therefor and be reasonably entitled thereto, suitable facilities and service, without discrimination and without delay”); N.J. Stat. Ann. § 48:3-3(a) (“No public utility shall provide or maintain any service that is unsafe, improper or inadequate, or withhold or refuse any service which reasonably can be demanded or furnished...”); Va. Code Ann. § 56-234(A) (“It shall be the duty of every public utility to furnish reasonably adequate service and facilities at reasonable and just rates to any person, firm or corporation along its lines desiring same.”); see also PJM Transmission Owners Comments at 26 (“transmission owners have a duty to meet the demands of their customers”). In the same vein, the Maryland Public Service Commission cited a PJM Independent Market Monitor study that “removing 10,000 MW of nuclear generation in the entire PJM footprint would have increased capacity prices in the state of Maryland by approximately 47% (\$526 million) relative to the 2025/2026 Base Residual Auction (‘BRA’) results.” See Maryland PSC Comments at 10 (emphasis added). But there is no “removing” or “retiring” of nuclear generation when it will continue to serve load.

it “could still be serving the grid, depending on whether and how the load is connected, and the nature of the flexibility of the load...”¹⁰⁴ Thus “[a]ny reliability assessment for co-located or hybrid arrangements must be limited to whether and how the proposed new load can be reliably and safely interconnected to the grid. As an example, PJM’s Necessary Study process engages in such an assessment.”¹⁰⁵

Constellation agrees that the correct reading of Principle 10 is that a “partial suspension” may arise “in situations in which the RTO requires the generator to delist capacity when a generator serves load directly behind-the-meter and the load takes no transmission service,” and that PJM’s “Necessary Study” process is the “reliability-type study” the ANOPR had in mind.¹⁰⁶ The Southwest Power Pool Transmission Owner Group explained these “reliability” and other “RMR-type studies” as follows:

The [Southwest Power Pool Transmission Owner] Group agrees that an existing generation resource that intends to divert a material amount of its capacity to serve a new large load at the same location should first submit to a study by the transmission provider to determine whether the diversion of that generation capacity will undermine reliable transmission. *That approach is consistent with the current use of studies in all organized markets (e.g., Necessary Studies in PJM,*

¹⁰⁴ EPSA Comments at 17-18; *see also* MISO Comments at 27, explaining:

In MISO, there can be no suspension (partial or otherwise) of a generator if it is still synchronously connected to the transmission system. Under MISO’s Tariff, a disconnected generator would be considered a generator retirement, which is reviewed pursuant to Attachment Y and includes MISO conducting a reliability study to determine if the proposed retirement will result in local reliability issues. If the study finds local reliability issues, MISO could require the generator to remain connected to the transmission system until necessary transmission upgrades are constructed and operational. MISO load would pay for the upgrades required to resolve the local reliability issues. However, if the disconnected generator later proposes to reconnect to the MISO transmission system, it would be assessed the costs of the upgrades.

¹⁰⁵ EPSA Comments at 18.

¹⁰⁶ *See* Constellation Comments at 27-28, citing ANOPR at ¶ 27; *see also* New England Consumer-Owned Systems Comments at 16 (opposing use of “SSR/RMR constructs” to study an existing generation’s “partial suspension” to serve large load as “misconceived” and “misguided for several reasons,” asserting that this would likely “impose substantial costs on consumers”).

SSR studies in MISO, and other RMR-type studies) to evaluate the reliability impacts caused by the loss of network generation.¹⁰⁷

This is a reasonable reading of the ANOPR. But even if, *arguendo*, the ANOPR intended that a “partial suspension” should be treated as a retirement, Shell Energy explains that “[e]xisting generators that retire are not typically allocated these network upgrade costs, existing generators that exit a region to serve load in a different region are not allocated these network upgrade costs, and other generators selling power bilaterally are not allocated these network upgrade costs.”¹⁰⁸

Finally, if, as the ANOPR suggests, the concerns animating Principle 10 are resource adequacy and problems with current load forecasts, the solution is to fix the market so it is better able to respond to the resource adequacy issue and to fix the load forecast.¹⁰⁹ Constellation has proposed solutions in its initial comments.¹¹⁰

¹⁰⁷ Comments of the Southwest Power Pool Transmission Owner Group at 10 (filed Nov. 21, 2025) (emphasis added); *see also* MISO Transmission Owners Comments at 29-30 (“If [an] existing generation resource ... remains connected synchronously to the transmission system, such an arrangement would likely not implicate the same reliability concerns associated with a generator completely disconnecting from the transmission system, *warranting a different type of study*” than MISO’s “SSR studies and related provisions [that] only apply in situations where a generator completely disconnects from the grid because it is suspending operations or is retiring”) (emphasis added).

¹⁰⁸ *See* Comments of Shell Energy North America (US), L.P. at 8 (filed Nov. 24, 2025) (“Shell Energy does not support existing generation having discriminatory and punitive provisions that it must pay for network upgrades for engaging in a bilateral capacity sale.”) (“Shell Energy Comments”); *see also id.*, seeking clarification:

“One of the clarifications needed under this principle is how generators, new or existing, that sell to load under a hybrid or co-located agreement are accounted for in centralized capacity markets or broader RA programs—if such sales are treated as retired resources, or if such sales are treated as traditional bilateral contracts. The proposal as written could imply that the generation component of hybrid/co-located load and generation resources does not have a must-offer obligation into capacity markets or may not be tracked under existing RA and procurement programs. This is not the current treatment of bilateral capacity sales under RA programs....”

¹⁰⁹ *See* ANOPR at ¶ 27 (“The study must consider system conditions, *including forecasted load growth*, at least three years after the proposed suspension date.... We invite comments on whether and how *resource adequacy* should be considered in the SSR/RMR type study.”) (emphasis added); *see also* Talen Comments at 10 (“Without greater accuracy in the load forecast, the likely outcome [of an RMR-type study] is an overestimate of anticipated load causing overstudy and more upgrades than actually necessary. In addition, requiring an analysis based on three years of forecasted load data seems punitive and discriminatory as no other load classes are required to perform ‘forward-looking’ studies that assess their potential impact on the transmission system.”).

¹¹⁰ *See* Constellation Comments at 40-43 (proposing load forecast improvements and enhancements to PJM’s existing reliability backstop mechanism already offered in PJM’s stakeholder process).

Principle 11—Basing Transmission Rates on the Quantity of Capacity and Energy Being Transmitted Across the Transmission System to the Load

Constellation agrees with netting charges for hybrid facilities “as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.”¹¹¹ Several Transmission Owners disagree, claiming that “to ensure fairness and avoid implementation complexity, the Commission should make a gross load approach the default for both ancillary services and transmission, subject to exception only if a utility supports and the state approves a different approach.”¹¹² But it is not “fair” to ignore the fact that a hybrid facility load is being directly served by a generator and thus not relying on “capacity and energy ... being transmitted across the transmission system” in assessing charges. And “complexity” is unlikely given that meters exist to measure precise flows. PJM and ISO-NE, moreover, have been netting Behind-the-Meter Generation and load for years.¹¹³ And allowing a customer to avoid gross charges “only if a utility supports” it would just license the very discrimination that the Commission should be eradicating.

SPP raises a legitimate issue with netting: “the hybrid resource requires transmission to be built and maintained, yet the hybrid facility avoids the coincident peak upon which billing is currently calculated.”¹¹⁴ This is exactly why Constellation has proposed that the appropriate transmission rate would be *the greater of* net transmission usage or a standby charge based on a “customer-designated firm load subscription level of what the customer could draw from the

¹¹¹ ANOPR at ¶ 28.

¹¹² EEI Comments at 16.

¹¹³ See Constellation Comments at 33-34 (citing PJM and ISO-NE netting cases).

¹¹⁴ SPP Comments at 13

transmission system.”¹¹⁵ Large loads have never tried to escape paying their fair share of transmission charges, but it would not be fair to assume hybrid facilities use the grid like any other load.

We further note that there is wide support in the record for different levels of transmission service to be elected by the load, including curtailable service (see Principle 7), or non-firm or “as-available” service for various large load configurations.¹¹⁶ The modern grid cannot thrive in the Transmission Owners’ preferred service model of one-size-fits-all and everyone-pays-the-same. The model does not accommodate efficient outcomes needed for current load configurations, is not as absolute as the Transmission Owners suggest (at least not in PJM and ISO-NE where netting is routine for some customers) and, even if it were, is a relic whose time has passed.

Principle 14—Meeting Reliability Standards

The ANOPR states that “utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions.”¹¹⁷ PJM highlighted the Necessary Studies process under its Tariff and the Susquehanna Nuclear example of its application (a proposed behind-the-meter co-location with a data center) and concluded “at least some of the reliability impacts of load integrations (in particular, the transmission impacts) can be accounted for where hybrid facilities are studied and implemented subject to [N]ecessary [S]tudy and local [utility] load integration processes today.”¹¹⁸ If there are any additional reliability concerns (in PJM or

¹¹⁵ See Constellation Comments at 34-35 (citing Testimony of Zachary Ming at 29 (Exh. 2 to Constellation’s April 23, 2025 Show Cause Answer)).

¹¹⁶ See, e.g., SPP Comments at 14 (“SPP and its stakeholders are currently developing ... a flexible, non-firm, Transmission Service option” and a “usage-based transmission charge is a fundamental change in how SPP currently charges for Transmission Service across the SPP Transmission System.”); Eolian Comments at 34-35 (“Non-firm injection and withdrawal rights will be necessary to realize the economic benefits of hybrid resources”).

¹¹⁷ ANOPR at ¶ 31.

¹¹⁸ PJM Comments at 9.

elsewhere), Constellation urges that the Commission adopt the three measures that Constellation developed jointly with Amazon, Calpine, Google, Microsoft, and Talen to remedy reliability concerns without delaying large load interconnections: (1) load forecasting and modeling improvements, (2) new demand side products, and (3) reliability backstop enhancements. Commenters universally agree accurate load forecasts are critical to addressing resource adequacy,¹¹⁹ and consensus is building for new demand side products and reliability backstop enhancements.¹²⁰

¹¹⁹ See, e.g., Shapiro & Youngkin Comments at 1-2 (stating a large load addition proposal “could be even more impactful if FERC were to develop national standards and guidelines for RTO [large load addition] forecasts.”); Buckeye Power Comments at 20 (“Deterring speculative projects will improve load forecasts and right-size transmission investment.”); PSEG Comments at 9 (“[R]eforms must be implemented to ensure the accuracy of the regional load forecast, which is a key input into both transmission planning and capacity market parameters.”); SEIA Comments at 4 (“Improving the accuracy of load projections will, in turn, support more effective transmission planning and generation development.... When forecasts reflect realistic expectations of future demand, they help send accurate price signals to both suppliers and consumers, supporting the development of a reliable and cost-effective grid. Accurate load forecasting is essential to ensure that rates remain just and reasonable.”); Comments of Industrial Customer Organizations at 4 (filed Nov. 21, 2025) (recommending that the Commission focus on “enhancing the transparency of load forecasting and assumptions underlying transmission system studies”) (“Industrial Customer Comments”); Invenenergy Comments at 6 (recommending that the Commission require transmission providers to “produce transparent, publicly accessible, and timely load forecast information that distinguishes between confirmed and speculative load” to incentivize generation development); Shell Energy Comments at 5-6 (stating security deposits should be constructed to discourage speculative or duplicate applications and enhances the accuracy of load projections); Comments of Google LLC at 14 (filed Nov. 21, 2025) (recommending forecasts include only large new loads backed by meaningful financial commitments); Vistra Comments at 31 (stating the Commission has “many tools” to improve resource adequacy including supporting load forecasting reforms).

¹²⁰ ISO-NE Comments at 9 (filed Nov. 21, 2025) (“a large load that agrees to be curtailed should participate in a wholesale-market based program (e.g., as a Demand Response Resource or Dispatchable Asset Related Demand).”); EDF Comments at 18 (“Services provided by curtailable load should be eligible for demand response revenues.”); Industrial Customer Comments at 4 (recommending the Commission incentivize “load flexibility commitments, demand response, and bring-your-own generation options”); Talen Comments at 2 (“[T]he Commission should direct each RTO/ISO to adopt Reliability Backstop Auctions, which is already present in PJM’s Tariff.”) (citation omitted).

General Principle—Rejecting Undue Discrimination Against Existing Generation

While there is not a specific principle on discrimination in the ANOPR, it is one of its central themes.¹²¹ The “Need for Reform” section specifically calls out non-discrimination against “existing generation facilities:”

In light of the unprecedented current and expected growth of large loads seeking to interconnect to the transmission system, and to provide open access *and non-discriminatory access to the transmission system*, it has become necessary to standardize interconnection procedures and agreements for such loads, *including those seeking to share a point of interconnection with new or existing generation facilities (hybrid facilities)*.¹²²

Unfortunately, this has not stopped discrimination, and some parties even re-define “hybrid facilities”—some expressly, some more subtly—to exclude “existing generation resources.”¹²³

There are at least three types of undue discrimination against existing generation resources either already occurring or being contemplated that the Commission must affirmatively reject: *First*, as discussed above in Section I.A.,¹²⁴ Transmission Owners continue to refuse to process hybrid facility interconnections involving existing generation or condition service on the large loads arranging for other services from the Transmission Owner. Constellation previously proposed—and the Commission should adopt—a rule that “[n]o Transmission Owner can expedite

¹²¹ See Secretary’s Letter at 1 (“large loads, including AI data centers, served by public utilities must be able to connect to the transmission system in a timely, orderly, and *non-discriminatory* manner”) (emphasis added); *id.* at 2 (“My proposal today sets forth a series of principles that are intended to ensure efficient, timely, and *non-discriminatory* load interconnections.”) (emphasis added).

¹²² ANOPR at ¶ 12 (the “Need for Reform”) (emphases added).

¹²³ See Maryland PSC Comments at 6 (“To the extent that hybrid arrangements are to be encouraged and incentivized, the Maryland PSC believes that a “hybrid facility” could be defined as new load and new generation and/or storage that are physically located together, with the load situated in front-of-the-meter.”) (excluding “existing”); PPL Comments at 17 (“The ANOPR adopts two options for co-located load: those sited ‘near ... a new generation facility’ and those ‘at the same point of interconnection as a new generation facility,’ the latter of which it defines as ‘hybrid facilities.’”). This is misleading as the definition of “hybrid facilities” includes “existing generation resources.”

¹²⁴ See *supra* at 5-7.

service or study processing for projects taking the Transmission Owner’s preferred type of service or configuration, or refuse to process a complete large load interconnection request on the ground that the large load has not ‘arranged for wholesale transmission or retail distribution service.’”¹²⁵

Second, as discussed above in Principle 10,¹²⁶ some parties propose onerous studies or disproportionate costs on existing generation seeking to serve large loads, including “reliability” studies that assume the existing generator is retiring and must goldplate the grid to accommodate its departure. These resources are not retiring and, even if they were, this exaggerated level of upgrades is not what retiring resources are required to fund. These punitive measures are designed to prevent existing generators from serving any other customer than the grid. If reliability is the concern, the Commission should order appropriate reliability enhancements instead of discriminating against existing resources.¹²⁷

Third, many parties propose discriminatory “Bring Your Own Generation” proposals in which large loads can only interconnect to the grid or receive interconnection favors (expedited or separate interconnection process) if they bring new generation resources.¹²⁸ There is not a specific principle on this issue in the ANOPR, but it is related to Principle 3 on “combined studies” because BYOG proposals typically combine interconnection studies or provide other interconnection

¹²⁵ Constellation Comments at 50-51 (citing PJM Show Cause Order, 190 FERC ¶ 61,115 at P 75).

¹²⁶ *See supra* at 27-31.

¹²⁷ *See supra* at 33-34.

¹²⁸ *See*, ODEC Comments at 10 (“While ODEC does support an option for customers to interconnect and build their own generation if it is located on the same parcel with a single interconnection point, the generation should be ‘new.’ This should not include any existing generators that deactivate all or part of their capacity to execute more lucrative large-load bilateral supply contracts with large loads that possess unlimited financial resources. The definition of new resources should be resources that have not previously injected energy into the grid.”); International Energy Comments at 7 (“Under the DCC’s proposed BYOG Pathway, Data Center applicants will be given an expedited review and approval of their interconnection of both a large load (*e.g.*, a Data Center) and a new electric generator, if both are brought together to the local utility in the ‘same Locational Deliverability Area’”); *see also* IMM Complaint.

favors.¹²⁹ Rather than opening the floodgates to the type of discrimination that most BYOG proposals contemplate, the Commission should first consider measures such as improved load forecasting, additional voluntary demand response products, and market-based solutions that minimize price discrimination between new and existing resources, such as the Reliability Backstop Alternative (“Enhanced Backstop”) advanced by the Joint Stakeholders, including Constellation, in the PJM stakeholder process and discussed in our initial comments.¹³⁰ In the event PJM’s capacity auction fails to procure sufficient resources, this proposal adds to PJM’s existing Reliability Backstop to target incremental capacity while minimizing harms to the market.¹³¹ The product being procured is the Capacity Performance product, eliminating the need for the development of complicated qualification and performance criteria. Eligibility includes both new and *existing* resources that did not clear in the BRA, likely because they are “facing large capital

¹²⁹ See Constellation Comments at 14-17 (discussing discriminatory BYOG proposals). PJM Option 6 is a BYOG proposal that would extend favorable interconnection treatment to *generation* associated with large loads, but only new generation is eligible. *Id.* at 15. Other proposals would go further, extending favorable interconnection treatment to *loads* with their own new generation, “effectively creating a powerful disincentive for new load to contract with existing resources.” *Id.* at 16.

¹³⁰ See Constellation Comments at 42-43; *see also* Exh. 1, Patterson Aff. (discussing Enhanced Backstop proposal).

¹³¹ See Exh. 1, Patterson Aff. at P 25 (“Enhanced Backstop ... creates an additional supplemental pool of supply that kicks in to improve reliability only under very tight market conditions without suppressing the capacity price signal below where it would have otherwise cleared.”); *id.* (“Setting the Procurement Threshold at 98% of the Reliability Requirement strikes a balance between ensuring that the market is able to achieve a reasonable minimum level of reliability and also providing a cushion for clearing lumpy offers while still staying below the point on the demand curve (99% of the Reliability Requirement) where the backstop would have a suppressive impact on the clearing price.”); *id.* at P 26 (“The Procurement Threshold also limits the impact of the Enhanced Backstop on market outcomes in subsequent years following the year in which it is initially triggered because the Procurement Threshold limits the volume of supply that receives multi-year capacity commitments.”); *id.* at P 27 (“Limiting the maximum term for multi-year price cap offers to seven years and clearing these offers in increasing order of term when the Enhanced Backstop is triggered, with shortest-term offers cleared first, also limits the potential for long-term price distortion due to the operation of the Enhanced Backstop.”); *id.* at P 29 (“[L]imiting the Enhanced Backstop to the four delivery years covered by the most recent Periodic Review of the RPM limits any impact that the Enhanced Backstop may have on long-term market expectations and thus reduces any chilling impact it may have on market participants’ investment decisions.”).

expenditure requirements” to continue operating.¹³² While existing market mechanisms should be sufficient to ensure resource adequacy even during periods of rapid demand growth, the Joint Stakeholders’ Enhanced Backstop proposal, as described in more detail in the Affidavit of Aaron Patterson, allows capacity resources to obtain capacity price certainty for more than one year and should resolve any doubts and with far less market harm than discriminatory BYOG proposals.

The FPA prohibits undue discrimination, with specific provisions against discrimination during shortage conditions such as those identified in the ANOPR.¹³³ It is unlawful, for example, to favor new generation over existing generation in taking measures to remedy the shortage,¹³⁴ or to decide not to serve large loads to ensure service to others.¹³⁵

Policies in favor of new resources are called “vintaging,” and they have long been discredited. Over a half century ago, the Commission analyzed the practice of establishing prices for natural gas based on contract date vintaging whereby one rate applied to “‘old’ or ‘flowing’ gas (based principally on historic test year costs) and another for ‘new’ gas (based on current costs

¹³² Old Dominion Electric Cooperative asserts that “[t]he definition of new resources should be resources that have not previously injected energy into the grid” and opposes eligibility for existing resource that have invested in significant uprates. ODEC Comments at 10. Old Dominion Electric Cooperatives calls uprate eligibility “simply a scheme that allows merchant generation companies to negotiate lucrative supply contracts with wealthy new large loads at the expense of everyday consumers.” *Id.* To the contrary, the market signal should be for investment in uprates.

¹³³ See 16 U.S.C. § 824a(g).

¹³⁴ *Id.* (the “manner” of addressing “any anticipated shortage of electric energy or capacity” to “insure continuity of service to customers,” must ensure that all persons served by a public utility are treated “*without undue prejudice or disadvantage*”) (emphasis added).

¹³⁵ This is a fourth type of discrimination that has been prominent, at least in some proposals in PJM, which is discrimination against large load as compared to “regular” load. PJM’s ill-fated non-capacity-backed load (“NCBL”) proposal would have allowed PJM to curtail large load before other load. This is distinct from large loads voluntarily choosing to be curtailable (see, e.g., ANOPR Principle 7) where “the load is electing to receive a lower quality transmission service.” Constellation Comments at 55-57 (citing Testimony of Zachary Ming at 34 (Exh. 2 to Constellation’s April 23, 2025 Show Cause Answer)).

and designed to provide incentives for future development).”¹³⁶ The Commission held that “vintaging by contract date is an anachronism which should be eliminated.”¹³⁷ The Commission’s rationale was that contract vintaging did not “respond[] to the present need for increased exploration and development” because the incentives applied to “‘new’ gas ratemaking are totally lost as to undeveloped acreage committed under old contracts.”¹³⁸ Vintaging suffers from the same old “anachronistic” flaws today as it did in 1973 when the Commission rejected it.

But vintaging is the zombie of energy policy; no matter how many times it is struck down, it rises from the grave. It is a nearly irresistible policy temptation to target new resources and pay them extra or grant them special treatment to bring them into existence. The problem is that it takes more than just new resources to supply the power system—we also must retain existing resources. The inevitable consequence of vintaging is a constant churning of resources caused by the distortion of price signals designed to create resource adequacy at lowest cost via *market competition*—not special favors.

¹³⁶ *Re Area Rate Proceeding for Rocky Mountain Area*, 49 FPC 924, 942 (1973) (citing Opinion No. 468, *Permian I*, 34 FPC 159, 185 (1965)).

¹³⁷ *Id.*

¹³⁸ *Id.*

CONCLUSION

WHEREFORE, Constellation respectfully requests that the Commission issue an order on the merits in PJM¹³⁹ by the end of the year and a NOPR by the end of the year or as soon as possible thereafter.

Respectfully submitted,

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December 5, 2025

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¹³⁹ If the Commission determines it is not ready to issue a full order, it should still rule on hybrid facilities with a shared point of interconnection (resolving jurisdiction and rates) and timeliness provisions. *See* Constellation Comments at 47-51.

Exhibit 1

Affidavit of Aaron T. Patterson

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	)	Docket No. RM26-4-000 (Not consolidated)
	)	
PJM Interconnection, LLC., <i>et al.</i>	)	Docket No. EL25-49-000
	)	
Large Loads Co-Located at Generating Facilities	)	Docket No. AD24-11-000
	)	
Constellation Energy Generation, LLC	)	
v.	)	Docket No. EL25-20-000
PJM Interconnection, LLC	)	(Consolidated)
	)	

**AFFIDAVIT OF
AARON T. PATTERSON**

December 5, 2025

I. QUALIFICATIONS, BACKGROUND, AND PURPOSE OF AFFIDAVIT

A. QUALIFICATIONS

1. My name is Aaron T. Patterson. I am a partner of The NorthBridge Group, Inc (“NorthBridge”). NorthBridge is a consulting firm that provides economic and strategic advice to the electric and natural gas industries. My business address is 30 Monument Square, Concord MA 01742.

6. I joined NorthBridge in 2001. Before that, I was an analyst at Lexecon, Inc., which I joined in 1996. I have over 20 years of experience working with clients in the electric and natural gas industries. My electric industry business consulting work has focused on market design, environmental policy, finance, and mergers and acquisitions. I received a Bachelor of Arts in Environmental Science and Public Policy from Harvard University, and a Master of Business Administration from the Tuck School of Business at Dartmouth. I have previously testified before the Commission and have also submitted expert testimony and/or expert reports in proceedings before the U.S. Department of the Treasury, the Illinois Commerce Commission, the Public Utility Commission of Texas and the New York State Public Service Commission.

2. A list of my past prepared testimony is provided as Attachment A.

B. BACKGROUND AND PURPOSE OF AFFIDAVIT

3. This affidavit describes how the Enhanced Reliability Backstop Mechanism (the “Enhanced Backstop”) to PJM Interconnection, LLC’s (“PJM”) Reliability Pricing Model (“RPM”) discussed in Constellation Energy Generation’s (“Constellation”) supporting comments in this proceeding¹ and originally proposed by a group of stakeholders² (“Joint Stakeholders”) in PJM’s Critical Issue Fast Path – Large Load Additions (“CIFP-LLA”) stakeholder process would work at a high level in practical application for the PJM RPM auction for the 2028/29 delivery year and beyond. I discuss how the Enhanced Backstop increases the ability of PJM to attract additional capacity supply under tight market conditions while limiting harm to competitive markets. Finally, I

¹ Supporting Comments of Constellation Energy Generation LLC, Nov 21, 2025, at 42-43 and Exhibit 1.

² Joint Stakeholders comprise Amazon.com Inc., Calpine Corp., Constellation Energy, Google LLC, Microsoft Inc., and Talen Energy.

identify certain parameters of the Enhanced Backstop that could potentially be varied relative to the baseline proposal and discuss the tradeoffs of varying each parameter.

4. I have previously provided testimony in the PJM Show-Cause Proceeding where I suggested at a high level that the Commission consider enhancements to the PJM RPM of a similar conceptual nature to the Enhanced Backstop.³ Subsequent to that testimony, in my capacity as an economic consultant, I have consulted with Constellation as it developed the Enhanced Backstop in conjunction with the Joint Stakeholders.

II. PURPOSE AND OPERATION OF THE ENHANCED BACKSTOP

C. CERTAIN DESIGN FEATURES OF THE RPM POTENTIALLY LIMIT CONFIDENCE IN ITS ABILITY TO BRING FORTH NEW SUPPLY UNDER TIGHT MARKET CONDITIONS

7. While the RPM has generally been successful in bringing forth sufficient supply to meet PJM's need for capacity, PJM and others have in recent years raised concerns about the ability of the RPM to continue to meet the market's need for capacity under current and future tight market conditions. As has been discussed in depth in this proceeding and others, PJM is currently experiencing an unprecedented combination of high demand growth, increased costs of and constraints on the installation of new generation, and retirement of existing, primarily fossil, resources. This confluence of factors has led to a tightening of the capacity market in the most recent two RPM Base Residual Auctions ("BRA"), with prices clearing around the current Net Cost of New Entry ("Net CONE") and quantity clearing around the Reliability Requirement, and an expectation from PJM that markets could potentially experience even greater degrees of tightness in future RPM auctions for 2027/28 and beyond.⁴ Such auction results are unsurprising and should be expected under these circumstances.

³ *PJM Interconnection, L.L.C.*, Docket No. EL25-49-000, Large Loads Co-Located at Generating Facilities, Docket No. AD24-11-000, Constellation Energy Generation, LLC v. PJM Interconnection, L.L.C., Docket No. EL25-20-000 (consolidated) (collectively, "PJM Show Cause proceedings"), Affidavit of Aaron T. Patterson attached as Exhibit 3 to Answer of Constellation Energy Generation LLC, April 23, 2025 ("Patterson Show-Cause Affidavit").

⁴ See PJM Interconnection, LLC, *2025 PJM Effective Load Carrying Capability and Reserve Requirement Study*, October 22, 2025, at Table 4. ("PJM ELCC/RRS Study") <https://www.pjm.com/-/media/DotCom/planning/res-adeq/elcc/2025-pjm-elcc-rrs.pdf>.

8. The design of the PJM RPM potentially limits its ability to bring forth new supply under very tight market conditions, for two reasons. First, the clearing price of capacity is not allowed to increase indefinitely as the market becomes ever-shorter but is instead administratively capped as a long-standing consumer cost limitation measure via the design of PJM's capacity demand curve, the Variable Resource Requirement ("VRR"). PJM's proposed VRR curve for the 2028/29 BRA caps the clearing price at a projected \$550 per MW-day, or approximately 1.9 times Net CONE for a generic new reference combustion turbine at the point where cleared capacity equals 99% or less of the Reliability Requirement.⁵ Resources whose economics require a price exceeding the administrative price cap thus cannot clear at their competitive offer level and are effectively unable to participate in the market. And to the extent that PJM mis-calibrates the cap and sets it at a level that is insufficient to cover new entry costs for potential new entrants, the amount of affected potential new entrant capacity could be significant.

9. Second, a given RPM auction only provides cleared capacity resources with a capacity commitment and associated revenues for a single delivery year despite the fact that many types of capacity resources have multi-decade economic lives. When the market rules are fairly static and there is a high degree of regulatory certainty, a series of one-year commitments has proven to incent new entry to meet normal load growth. The RPM has procured sufficient resources to meet PJM's resource adequacy target year after year for 20 years, despite a major transition in the nature of the generation fleet.⁶ However, when there is significant regulatory uncertainty, this limitation increases risk for new entrant generation and raises the price they need to economically enter the market. For example, a typical new entrant generation resource must weigh the commitment of its full construction capital versus its projected market revenues over a twenty year or more economic life and decide whether the projected revenues are sufficient compensation for the upfront capital expenditures. But because the RPM in the year in which the resource enters only locks in capacity revenues for its first year of operation, the resource must take the risk that the remaining nineteen or more years following that point will provide sufficient revenue to justify sinking the capital to enter the market. Relative to a design where it is able to lock in capacity

⁵ *PJM Interconnection, L.L.C.*, Docket No. EL26-455-000, 2025 Period Review of the Variable Resource Requirement Curve Shape and Key Parameters, November 7, 2025, at 44-50.

⁶ See Patterson Show-Cause Affidavit at PP 18-20 for an in-depth discussion of the historical performance of the RPM in meeting its reliability goals at reasonable cost.

revenues for a longer period upon entering the market, and particularly during periods of significant regulatory uncertainty (such as when design features like a cap or a collar on prices apply for some years and not others), a resource will have a higher price threshold for new entry, limiting the supply of new entrant resources and increasing the population of potential new entrants that are potentially excluded due to the administrative price cap.

10. The RPM does currently have a mechanism for procuring capacity on a supplemental basis if the RPM clears short of 99% of the reliability requirement for three consecutive years.⁷ However, under current circumstances, the three-year trigger makes this mechanism somewhat unresponsive to address emerging reliability concerns – by the time the market has cleared short for three years in a row the supply deficit could potentially get very large – and the supplemental procurement would occur as a separate auction outside the normal operation of the RPM, potentially leading to market disruptions and harm that exacerbate the problem over the long run.

11. Given these limitations, an improved reliability backstop mechanism that is both more responsive and market friendly could increase confidence in the ability of the RPM to bring forth new supply when needed under tight market conditions. The Enhanced Backstop has been carefully designed to provide increased confidence in RPM while limiting any harm to markets as much as possible.

D. THE ENHANCED BACKSTOP WORKS WITHIN THE STRUCTURE OF THE RPM TO BRING FORTH ADDITIONAL SUPPLY UNDER TIGHT CONDITIONS

11. The goal of the Enhanced Backstop is to offer a responsive in-market mechanism that expands the universe of available supply to the RPM when needed under very tight market conditions in order to achieve a reasonable minimum level of reliability while also minimizing distortions and harm to markets over time. The Enhanced Backstop is intended to increase confidence in the ability of markets to bring forth new supply in particularly challenging conditions while minimizing any distortions of market price signals that are needed to drive investment and retirement decisions across the full range of market conditions.

12. The Enhanced Backstop proposal would allow (but not require) certain resources to enter a multi-year offer in the RPM at the administrative price cap in lieu of making a conventional single-

⁷ PJM Open Access Transmission Tariff, Attachment DD, Section 16.

year offer at any allowable price level. Resources eligible to make multi-year price-cap offers would include all resources that are allowed to offer at the level of the administrative price cap under current RPM rules. Resources that are required to offer at a level below the price cap due to the operation of the Market Seller Offer Cap (“MSOC”) rules would not be eligible to make multi-year price-cap offers. Thus, new entrant generation resources (including uprates of existing generation resources), new external resources, and all types of demand response (“DR”) resources (which are all exempt from the MSOC) would be eligible to make multi-year offers at the price cap in the BRA. This is the appropriate level as the Enhanced Backstop would only be utilized in situations when the market is clearing at the price cap, and the offer level should not create an incentive for those resources that could offer into the BRA, but are not required to do so, to wait for the Enhanced Backstop to be triggered to offer. Existing generation resources which are able to support a MSOC at or above the price cap would also be eligible. While most existing resources, including nuclear, natural gas, and renewables, are unlikely to meet the criteria to be eligible on this basis, resources which face large avoidable capital expenditures, or existing external resources in high-priced external markets with resulting high opportunity costs could potentially qualify. Resources making multi-year price-cap offers would be subject to the same capacity accreditation rules as other capacity resources and would generally be subject to the same performance obligations if cleared.⁸

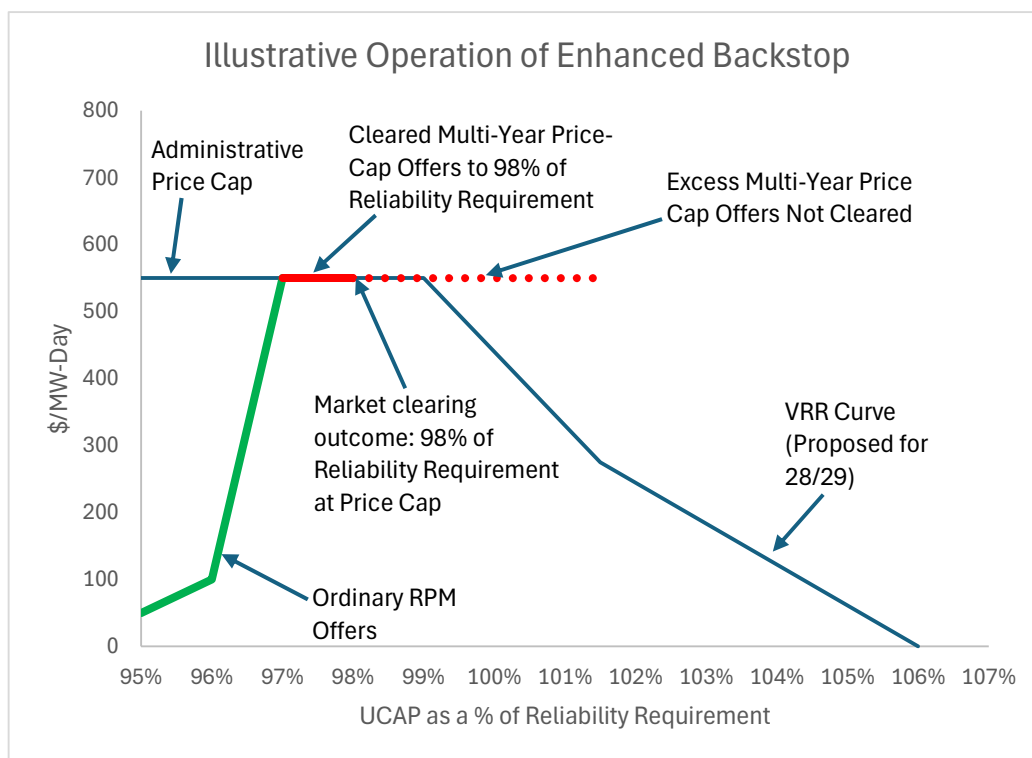
13. Resources choosing to make multi-year price-cap offers would be required to offer at the administrative price cap for the delivery year of the RPM auction in question but could choose to offer a term of anywhere between two and seven years. If cleared, they would assume a capacity obligation for each year of the term offered and would be paid their offer price in each year of that term.

14. When running the RPM auction with the Enhanced Backstop in place, PJM would clear the market without clearing any multi-year price cap offers if the amount of cleared supply meets or exceeds 98% of the Reliability Requirement (the “Procurement Threshold”). If, however, the

⁸ The one exception from the standard rules applicable to capacity resources would be the price at which the capacity resource with a multi-year commitment is incorporated into the supply curve into subsequent BRAs (since they are already cleared with a commitment they would not make new offers in these BRAs). For the reasons discussed below, such resources would be entered into the supply curve at their Net Avoidable Cost Rate to minimize price discrimination between the multi-year resource and the mostly existing resources that clear in the BRA.

RPM would otherwise clear below 98% of Reliability Requirement, PJM would clear multi-year price-cap offers sufficient to increase the total amount of supply cleared to 98% of the Reliability Requirement, but no more, unless offer lumpiness requires that PJM clear some modest amount in excess of the Procurement Threshold. PJM would clear multi-year price-cap offers in order of the term offered, with shortest term offers cleared first, and would account for ties and offer lumpiness by applying similar cost-minimization principles as it currently uses to resolve such issues in clearing the RPM.⁹ If insufficient multi-year price-cap offers exist to return the total amount of cleared supply to the Procurement Threshold, PJM would clear all available offers. The Enhanced Backstop is thus not a separate procurement but rather occurs within the normal market clearing operation of the RPM auctions. Figure 1 below provides an illustrative graphical depiction of how the Enhanced Backstop would work in the RPM market clearing process:

Figure 1



15. Cleared multi-year price cap offers would assume a capacity obligation, with all attendant requirements, for their full offered term. They would be paid their offer price (i.e., the price cap in the initial year in which they are cleared) for each year of the term regardless of the market

⁹ See PJM Open Access Transmission Tariff, Attachment DD, Sections 5.12 a) and d).

clearing price in subsequent delivery years. To the extent that the administrative price cap is increased or decreased in subsequent delivery years, cleared multi-year price cap offers would still be paid their original offer price in the year in which they were originally cleared. For the purposes of price formation in subsequent years, multi-year capacity cleared in prior years would be entered into the supply curve at an offer price equal to their net avoidable cost rate as an existing resource, calculated as the technology-specific gross existing-resource avoidable cost rate for their resource class minus the unit-specific energy and ancillary services offset. Demand response resources with cleared multi-year price-cap offers would be entered into the supply curve at an offer price of zero in subsequent years.

16. The Enhanced Backstop would only apply at the PJM Regional Transmission Organization (“RTO”) level and not at the level of individual Locational Delivery Areas (“LDAs”). Thus, the clearing of multi-year price-cap offers would only be triggered if the RTO as a whole were short of 98% of the Reliability Requirement, and multi-year price-cap offers would be accepted from any qualifying resource without regard to location within PJM. While it may be possible to adapt the Enhanced Backstop to include a locational element, doing so increases implementation complexity and thus increases the risk of market distortions and other unintended consequences. Further, given that the reliability concerns over the coming years raised by PJM appear to be primarily applicable to the RTO as a whole, restricting application of the Enhanced Backstop to the RTO level only provides a better balance of implementation speed and increased confidence in markets.

17. To limit any long-term distortive impacts on the markets and to ensure that the mechanism does not outlast its need, the Enhanced Backstop would only be in place for the next four RPM delivery years corresponding to the current Quadrennial Review (2028/29 through 2031/32) and would sunset automatically thereafter.

18. The existing reliability backstop provision in the tariff is not mutually exclusive with the Enhanced Backstop and could remain in place as an additional line of defense against sustained extreme market conditions.

III. THE ENHANCED BACKSTOP WILL INCREASE CONFIDENCE IN PJM MARKETS WHILE MINIMIZING PRICE DISTORTIONS AND OTHER POTENTIAL HARMS

E. THE ENHANCED RELIABILITY BACKSTOP WILL ALLOW PJM MARKETS TO IMMEDIATELY ACCESS A WIDE RANGE OF SUPPLY THAT WOULD OTHERWISE NOT PARTICIPATE IN MARKETS

19. Compared to the existing reliability backstop provision in the Tariff, the Enhanced Backstop is far more responsive in immediately bringing forth new supply in response to tight market conditions because it is triggered within the same RPM auction in which the tight conditions themselves first appear, rather than being triggered only after three years plus of tight market conditions. And the Enhanced Backstop is also less disruptive to markets because it occurs in-market rather than as a separate procurement and is designed to limit its application in a manner that does not affect the clearing price in the year in which it is triggered.

20. While PJM has not yet returned to its normal three-year ahead RPM auction cadence, there likely are substantial pools of potential supply that the Enhanced Backstop can activate to materially improve reliability as early as the 2028/29 delivery year. Allowing eligible resources to lock in a price at the administrative price cap for a multi-year period increases the likelihood that high-cost supply that would otherwise forgo participation altogether will enter a multi-year price-cap offer. In particular, even if incremental greenfield new generation development is not feasible by 2028/29, many potential incremental sources of supply could still increase their participation, including:

- Demand response: DR has in the past historically participated at higher levels than it has in recent years¹⁰ and it stands to reason that the ability to lock in a relatively high, multi-year price could attract additional DR to the market. Unlike generation, DR does not need to pass through the interconnection queue and can thus rapidly enter the market in substantial quantities if the price signal is sufficient.

¹⁰ PJM Interconnection, LLC, 2026/27 Base Residual Auction Report, July 22, 2025, Figure 3. <https://www.pjm.com/-/media/DotCom/markets-ops/rpm/rpm-auction-info/2026-2027/2026-2027-bra-report.pdf> Between the 2016/17 and 2026/27 BRAs the amount of offered demand response and price responsive demand has fallen from approximately 15 Gigawatts of Unforced Capacity to 5.5 Gigawatts.

- Existing external resources: many neighboring markets have tight capacity markets similar to PJM which could result in existing external resources facing a very high opportunity cost (and resulting high MSOC) to remain in the PJM market, which could cause them to not clear under the status quo. The ability to make multi-year offers at the price cap could provide a pathway for such resources to continue to clear in PJM rather than external markets.
- In-development new generation: PJM and neighboring regions have a large volume of new generation working through the interconnection queue process, and many such resources face unexpected challenges such as high interconnection costs and/or loss of federal tax subsidies (for renewables). The option to offer multi-year at the price cap provides a pathway for such challenged resources to potentially still enter the market if the need is high, rather than simply cancelling the project as typically occurs under the status quo.

21. From the 29/30 delivery year and beyond, the universe of potential incremental supply that could be activated by the Enhanced Backstop mechanism will continue to expand as the supply of new generation becomes more elastic and PJM continues to refine and optimize its recent reforms to the generation interconnection queue.

F. THE ENHANCED BACKSTOP HAS BEEN CAREFULLY DESIGNED TO MINIMIZE ANY HARMS TO PJM COMPETITIVE MARKETS

22. The Enhanced Backstop is a departure from the current RPM design in that it employs discriminatory pricing for certain high-cost resources that would normally be unable to clear in the RPM due to the operation of the price cap and the single-year commitment period. Resources that are cleared as multi-year price-cap offers are paid the same price as other resources in the year in which they clear, but are potentially paid a different, and in most instances likely higher, price than other resources in subsequent years of their multi-year commitment term. While the Enhanced Backstop will not have an impact on price in the year in which it is triggered, it does lead to the procurement of high-cost resources that would not otherwise have been procured absent the mechanism, and the existence of those resources in subsequent years could lead to price distortions in those years because they represent additional infra-marginal supply that would not exist but-for

the Enhanced Backstop. This is not normally an ideal market design feature, and the Commission should rightfully be cautious about approving market design elements that discriminate between different resources that are ultimately providing the same product. However, in this case the Enhanced Backstop has been carefully designed to minimize any harm to markets that results from this underlying discriminatory element.

23. First, limiting the amount of multi-year price-cap supply cleared to the amount needed to increase total cleared supply to the Procurement Threshold, but no more, is a key feature that reduces the distortive impact of the Enhanced Backstop on competitive markets in several important ways.

24. As Figure 1 shows, setting the Procurement Threshold at 98% of the Reliability Requirement causes the Enhanced Backstop to only come into play under very tight market conditions when the RPM would already clear at the price cap. Thus, the Enhanced Backstop will not affect market clearing outcomes in years in which the RPM clears below the price cap (with the exception that multi-year supply cleared in prior years may have an ongoing effect in subsequent years). The Enhanced Backstop will also not have an effect on the clearing price in years in which it is triggered and any multi-year price cap offers cleared will be paid the same price as other resources cleared in that year because the amount of multi-year supply cleared will not push the total cleared quantity past the point where the demand curve begins sloping downward at 99% of the Reliability Requirement. Rather, as Figure 1 shows, the operation of the Enhanced Backstop will simply move the market clearing outcome along the flat portion of the demand curve at the administrative price cap.

25. The Enhanced Backstop thus creates an additional supplemental pool of supply that kicks in to improve reliability only under very tight market conditions without suppressing the capacity price signal below where it would have otherwise cleared. Setting the Procurement Threshold at 98% of the Reliability Requirement strikes a balance between ensuring that the market is able to achieve a reasonable minimum level of reliability and also providing a cushion for clearing lumpy offers while still staying below the point on the demand curve (99% of the Reliability Requirement) where the backstop would have a suppressive impact on the clearing price.

26. The Procurement Threshold also limits the impact of the Enhanced Backstop on market outcomes in subsequent years following the year in which it is initially triggered because the

Procurement Threshold limits the volume of supply that receives multi-year capacity commitments. As Figure 1 shows, a higher Procurement Threshold, such as 99% of the Reliability Requirement, would result in more capacity being procured under the Enhanced Backstop whenever it is triggered. This capacity would generally remain in the market thereafter as infra-marginal existing resources which would reduce prices relative to the but-for world where these incremental resources were never procured. Thus, setting the Procurement Threshold to the relatively low value of 98% of the Reliability Requirement limits long-term distortions to the market.

27. Limiting the maximum term for multi-year price cap offers to seven years and clearing these offers in increasing order of term when the Enhanced Backstop is triggered, with shortest-term offers cleared first, also limits the potential for long-term price distortion due to the operation of the Enhanced Backstop. During the term of their multi-year commitment, capacity procured under the Enhanced Backstop will remain in the market as relatively low-priced supply regardless of subsequent market conditions or their private economics because they would be entered at an offer price of either their Net ACR or zero (for DR). As discussed above, this potentially distorts and suppresses resource offers and thus market prices in those years, particularly for resources such as demand response and external resources that often do not need to sink substantial capital to enter the market and thus face an ongoing year-to-year marginal decision whether, and what price, to participate. Limiting the maximum multi-year term to seven years and preferentially clearing the shortest-term offers limits this distortive effect.

28. Similarly, the requirement that resources with multi-year capacity commitments be entered into the capacity offer curve at their Net ACR, rather than as price-takers, in years two and beyond of their multi-year commitment simulates ongoing competitive offers from these resources for the purposes of RPM price formation and thus partially protects against price distortions if tight market conditions cease to prevail during the term of the multi-year capacity commitment.

29. And finally, limiting the Enhanced Backstop to the four delivery years covered by the most recent Periodic Review of the RPM limits any impact that the Enhanced Backstop may have on long-term market expectations and thus reduces any chilling impact it may have on market participants' investment decisions.

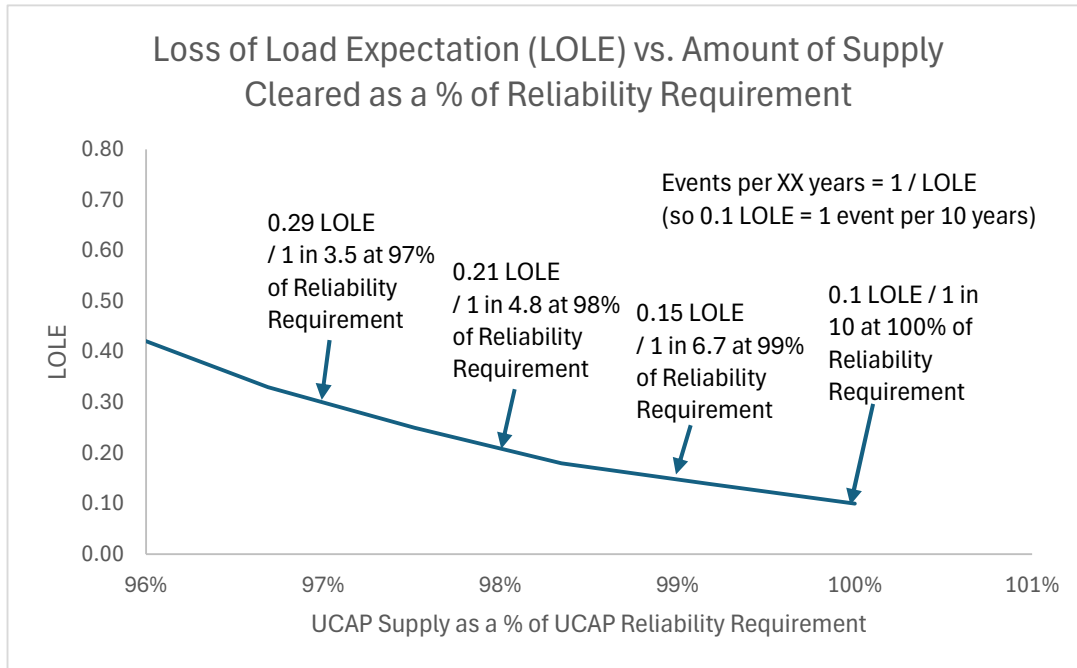
IV. CERTAIN FEATURES OF THE ENHANCED BACKSTOP COULD BE VARIED TO ACHIEVE A DIFFERENT BALANCING OF MARKET CONFIDENCE AND HARM LIMITATION

30. In my opinion, the various features of the Enhanced Backstop discussed above strike the best balance between increasing confidence in the ability of the RPM to bring forth supply when needed on one hand while also limiting harm to the market on the other. That said, there are several features and parameters of the Enhanced Backstop that could be varied to the extent that the Commission or other stakeholders wish to recalibrate the balance between these two goals.

31. First, in my view the Procurement Threshold of 98% of the Reliability Requirement is the most important parameter in balancing between the two goals. While setting the Procurement Threshold at 98% of the Reliability Requirement strikes the best balance in my opinion, setting it to a higher or lower number, within certain bounds, would still achieve a workable mechanism, albeit one with a different tradeoff between reliability on one hand and potential harm to the market on the other. Specifically, reducing the Procurement Threshold below 98% of the Reliability Requirement would result in the market procuring less supplemental supply when the Enhanced Backstop is triggered, which would result in a lower level of reliability but also less potential price distortion over time, while procuring more than 98% would have the opposite effect.

32. Figure 2 below shows the approximate tradeoff in reliability between different levels of Procurement Threshold, based on my analysis of information provided by PJM during the CIFP-LLA process:

Figure 2



Source: Based on PJM Interconnection, LLC, Estimated Preliminary Resource Adequacy Metrics for 2028/29 Under Different Shortage Levels, October 21, 2025. <https://www.pjm.com/-/media/DotCom/committees-groups/cifp-lla/2025/20251021/20251021-item-03---estimated-preliminary-resource-adequacy-metrics-for-2028-2029-under-different-shortage-levels---pjm-presentation.pdf>. I have calculated the Unforced Capacity Supply as a percentage of the reliability requirement from the values provided by PJM in this document by multiplying the provided reserve margin expressed in ICAP terms by the pool average projected accredited UCAP factor for 2028/29 of 0.7616 and then dividing each value by the projected 2028/29 forecast pool requirement of 0.9193.

As Figure 2 shows, if PJM procures supply equal to the Procurement Threshold of 98% of the Reliability Requirement through operation of the Enhanced Backstop, PJM will achieve a loss of load expectation of about 0.21 events per year (1 event per 4.8 years), which is approximately double the long-term reliability target of 0.1 events per year (1 event per 10 years). If the Procurement Threshold were raised to 99% of the Reliability Requirement, and sufficient multi-year price cap offers existed to reach the higher threshold, the resulting reliability expectation in that year would improve to 0.15 events per year (1 event per 6.7 years). However, this would come at the cost of procuring approximately 1.6 Gigawatts of additional unforced capacity (the one percent differences between a Procurement Threshold at 99% versus 98% multiplied by PJM's

2028/29 projected Reliability Requirement of approximately 156 Gigawatts¹¹) under multi-year commitments, which would have distortive effects in subsequent years (while also increasing customer cost). Conversely, setting the Procurement Threshold to 97% of the Reliability Requirement would result in expected reliability of 0.29 events per year (1 event per 3.5 years) if the Enhanced Backstop is triggered in a given year and results in supply procurement at that level, but would also result in a reduction in procured multi-year supply of about 1.6 Gigawatts of unforced capacity relative to a Procurement Threshold of 98% of the Reliability Requirement.

33. In my opinion, a Procurement Threshold of 98% of the Reliability Requirement sets a reasonable balance between reliability assurance on one hand and limitation of market distortions on the other. Setting the threshold at or close to 99% increases the risk that the Enhanced Backstop could affect market prices in the year in which it is triggered due to lumpy offers, and further results in a higher volume of multi-year commitments that could potentially distort prices in subsequent years. Conversely, setting the procurement threshold at less than 98% would result in loss of load expectations more than doubling relative to the long-term reliability target in years in which the Enhanced Backstop is triggered, which is likely to be an unacceptably low minimum level of reliability for consumers. However, a range of Procurement Threshold values between 97% and approximately 98.5% (to allow for lumpy offers) is likely workable.

34. Another potential lever that could be varied would be to increase the maximum allowable multi-year offer term from seven years to potentially as high as ten years. Increasing the maximum allowable term expands the universe of potential supply that may be willing to submit multi-year price-cap offers because it increases the level of assured capacity revenue over time that resources are able to express in their offers. This decreases the likelihood that PJM may end up in a situation where there are insufficient multi-year, price cap offers to reach the Procurement Threshold, with a resulting degradation in reliability. Conversely, as discussed previously, increasing the maximum allowed term increases the potential for market distortions over the long term. In my opinion, the proposed seven-year term limitation is reasonable but raising it to as high as ten years would still be workable.

¹¹ PJM ELCC/RRS Study at Table 4.

35. Finally, another lever that could further reduce any potential harm on markets would be to require that PJM support the continuation of the Enhanced Backstop for delivery years after 2028/29 with an analysis of projected capacity supply and demand for the upcoming year prior to the BRA. If such an analysis did not show a projected shortfall relative to the Reliability Requirement for that year, the Enhanced Backstop would be suspended for that year. In any event the Enhanced Backstop would still sunset following the 2031/32 delivery year but could be suspended for some of the years prior to that point if PJM's analysis shows that it is not needed. This measure would further increase confidence that the Enhanced Backstop will have a limited long-term effect on market price signals but may be unnecessary given that the Enhanced Backstop is only designed to be triggered under shortage conditions in any case.

36. This concludes my affidavit.

VERIFICATION

I declare under penalty of perjury that the foregoing Affidavit is true and correct to the best of my knowledge, information, and belief.

Executed this 5th day of December 2025.

A handwritten signature in black ink, appearing to read 'Aaron Patterson', written over a horizontal line.

Aaron Patterson

Attachment A to Patterson Affidavit

Aaron T. Patterson Testimony and Expert Reports				
Date	On Behalf Of	Commission/Court	Subject Matter	Docket/Case Number
Dec-2025	Constellation Energy	Illinois Commer Commission	Rebuttal Testimony Responding to Joint NGO Bring Your Own Generation Proposal	25-0680
Oct-2025	Constellation Energy	Illinois Commerce Commission	Rebuttal Testimony Responding to Joint NGO Bring Your Own Generation Proposal	25-0679 and 25-0677
Apr-2025	Constellation Energy	FERC	Affidavit – Resource Adequacy Issues in PJM	EL25-49-000 AD24-11-000 EL25-20-000
Jan-2025	Constellation Energy	FERC	Affidavit – Treatment of RMR Resources in PJM Capacity Market	ER25-682-000
Feb-2024	Nuclear Energy Institute	U.S. Department of the Treasury	Expert Report (with Frank Huntowski and John Hutchinson) – “Assessing the Incrementality Requirement of Treasury’s Proposed 45V Regulations”	REG-117631-23
Dec-2023	Constellation Energy	FERC	Reply Affidavit – PJM Capacity Market Reforms	ER24-99-000 and ER24-98-000
Nov-2023	Constellation Energy	FERC	Affidavit – Market Monitor Complaint regarding PJM Capacity Market	EL24-12-000
Nov-2023	Constellation Energy	FERC	Affidavit – PJM Capacity Market Reforms	ER24-99-000 and ER24-98-000
Nov-2022	Constellation Energy	FERC	Joint Affidavit (with Michael M. Schnitzer) – New England Winter Gas-Electric Forum	AD22-9-000
June-2021	Exelon Corporation	FERC	Reply Affidavit – PJM Capacity Market Seller Offer Cap	EL-19-63-000
May-2021	Exelon Corporation	FERC	Affidavit – PJM Capacity Market Seller Offer Cap	EL19-63-000
Nov-2020	Exelon Corporation	FERC	Declaration (with Michael M. Schnitzer) – NYISO Capacity Market Buyer Side Mitigation	EL21-07-000

Aaron T. Patterson Testimony and Expert Reports				
Date	On Behalf Of	Commission/Court	Subject Matter	Docket/Case Number
Nov-2019	Exelon Corporation	State of New York Public Service Commission	Expert Report – “Impact of Carbon Pricing on Potential Expanded Buyer-Side Mitigation in the NYISO Markets”	19-E-0530
Dec-2017	Exelon Corporation	Public Utility Commission of Texas	Expert Report (with David Coleman) – “Economic Equilibrium and Reliability in ERCOT”	Project No. 47199